# Ep. #20 | WTF are Indian Real Estate Giants Up To? Nikhil ft. Irfan, Nirupa, & Karan

[Speaker 3] (0:00 - 1:23)

The question we want to answer today. I'm young, I'm 20 years old, I want to start a real estate company. How do I go about it?

Should they invest? Should it be commercial? Should it be residential?

Should they do fractional real estate? Okay, we're back. Yeah, started?

Ready? Thank you guys for coming. I know all three of you fairly well, because we live in the same city and we have met many times, dozens of times.

For the people who do not know you. I don't think there are many of those. But maybe we can start with Irfan uncle.

Tell us a bit about growing up in Bangalore. And how you came about and became this original gangster of the real estate industry. I like that.

[Speaker 2] (1:23 - 1:24)

Where did you get that from?

[Speaker 3] (1:25 - 1:29)

I like that. I love that.

[Speaker 1] (1:30 - 1:49)

You know, Nikhil, I never ever thought that I'll be a developer or a real estate professional in whichever way. Of course, Bangalore in our days, because I'm ancient, was a very, very sleepy old city.

[Speaker 3] (1:49 - 1:51)

So, were you also born in Bangalore?

[Speaker 1] (1:51 - 1:54)

Yeah, I've been born in Bangalore, bred in Bangalore.

[Speaker 2] (1:55 - 1:56)

Parents moved to Bangalore?

[Speaker 1] (1:57 - 3:03)

Parents, my grandparents came in from Kachbuj. That is about more than a hundred years ago. My parents also were born in Bangalore.

They studied in St. Joseph's. I studied in St. Joseph's. I did my college in the commerce college in St. Joseph's, graduated from. So, even those days, today kids, the moment they'd finish the school, the next thing they'll be looking at, which you need to go, which part of the world they need to go and study. We never had such concepts. The only concept was, okay, after you finish this, what do you do next?

So, you have to graduate, you do that. And then later on, it was for me, I had a passion for numbers. I had a passion for law.

So, I did my stint in year plus in the law college and then dropped out. And I did also an articleship for my chartered accountant, which I again opted out because I got sucked into my parents' business. So, that's what happened.

And that was fashion, menswear fashion. I made Nirupa's dad's wedding clothes.

[Speaker 4] (3:03 - 3:07)

Really? She didn't know about it because she wasn't there.

[Speaker 1] (3:08 - 3:28)

So, when her dad walked in, the whole family, see, we used to get all the coffee planters from different parts, from this section. We used to get the industrialists, the businessmen, including the way we are sitting. Mr. Malia himself used to come and make his clothes with us.

[Speaker 3] (3:28 - 3:28)

On commercials?

[Speaker 1] (3:29 - 3:37)

Yeah, yeah. And of course, a lot of VIPs. That's how we have that connect.

We know all the who's who. That made things easy also.

[Speaker 3] (3:38 - 3:44)

So, why did you think of starting a real estate company from? Quirk of fate, destiny.

[Speaker 1] (3:45 - 6:15)

This happened in the year 1980-81. We sold a family property. So, I was maybe as old as Karan here.

My parents, my dad and my two uncles wanted to sell that. They put me and said, you know, you do the entire transaction. So, that was way back in 80.

So, they said some Bombay developer wanted to buy it. In fact, there were several people, somebody from Delhi, somebody from Bombay. Finally, we chose someone.

And then that entire process of doing the agreement of sale, getting the entire money out from the developer and then again the reinvestment. The reinvestment, that was what made it all very attractive, you see. Once the money came in, of course, my two uncles took their share and we had to reinvest for ourselves and did something.

In that quest of selling and buying, we got this little bit of taste of real estate where, you know, we did some quick profits and some flipping over. What year was this? This is 1980.

So, that is a good 44 years ago. Which property was this? Infantry Crossroad, where it is now called the Blue Cross Chambers.

That was a family home. So, one led to the other. The whole thing started as a reinvestment.

Even today, you have the same model where you can reinvest and get the exemption for capital gains. So, back then also, though the tax rate was much higher, which is now lower at 12.5%. People are crying. FEM has done a disservice by doing it at 12.5%. I believe whatever she has done is done well without indexing 12.5% on long-term gains, which is, I think, pretty decent. So, those days we had to reinvest for my uncle. One uncle, of course, took his money, did whatever. We didn't have any say on it.

Between my father and my one uncle, we tried to do all that. So, in that quest of doing that, we came to know about how things went about. Values were much less.

All houses were sold for lakhs. I bought my first plot for my own house in Nandig Road at Rs. 135 a square foot.

Today, it's all thousands. People will say Rs. 23,500 or Rs.

33,500. I don't know what the rate is. That's how things were back then.

[Speaker 3] (6:16 - 6:34)

What defines the value of land, uncle? If today somebody says the value of land, let's say, on this road is Rs. 30,000, Rs.

40,000 per square feet. Is it the monetization capacity of the land that attributes that value to it?

[Speaker 1] (6:36 - 6:53)

See, now, very different from what it was way back. Way back, it was affordability and how can I, you know, do I can afford that and everything else. I know in 1973, my father bought a piece of land in Aliaska Road Cross.

You know, what happened was...

[Speaker 3] (6:53 - 6:55)

Where that Element restaurant is.

[Speaker 1] (6:55 - 7:39)

See, what happened was, that time we got the Urban Land Selling Act. 1976 or 1973, the Act came in. So, all the big landlords who had these huge houses, they had to quickly dispose of the excess land.

So, they converted them into plots. That's how these layouts came into Bangalore. That's the advent.

I mean, that's the historical thing about layouts in Bangalore. Now, what defines today, what it defines is, it's depending on what's the selling, it's all about FSI on that road. It all depends on what's the selling price of the product would be and the construction cost.

So, that the entire way of calculating is very different now than back then. It's very different.

[Speaker 3] (7:40 - 7:46)

So, you did the first land transaction 1980, 81 or 82 and then you made some money and then?

[Speaker 1] (7:47 - 10:18)

And then, one led to the other. We did trading in real estate for about five years, okay. Then I said, this is too boring.

We must really do something which makes a difference, which will be noted for. So, I told my brother, I said, let's do some. See, there was no good office buildings in Bangalore.

So, what ironically, I did not do my residential buildings first. What we did was, we said, I felt that office was a nicer way to do it. You're more known for it.

You can either get rental income or you can sell start-up offices those days and the office those days were very different from offices today. Today, you have these large, large multinational clients having, needing hundreds of thousands of square feet. Those days, even an office of a

thousand or two thousand or five thousand square feet was big because it's, who was the occupiers were professionals, small businesses, small industrialists and all of it.

And from where did it change was in the late 90s, 1988-99 offices changed. So, we started building office. My first building was on KH Road, was called the Prestige Court.

Then we did some two buildings. One is Copper Arch on Infantry Road and the other is House of Lords on St. Mark's Road. Now, House of Lords, unfortunately, we sold it and then we realized, you don't maintain it, it goes to seed.

In fact, we installed the first escalators there. Right. But…

What year was that? 88-89, maybe 1990. Then that sea changed, you see.

Then we started getting more and more opportunities on doing office in premium locations where, you see, now we also invented this joint development concept where I told, in fact, the first one I did was my own father-in-law. He wanted to sell his family house. I said, what?

I said, do you have any use for that money? He said, no. I said, if you don't have any use for the money, don't sell it because money comes in your hand, it'll vanish.

So, I'll do this joint development for you. That's how I did this Copper Arch. So, I invented that.

I had to literally tell the lawyers how we had to do the JDA agreement and then, of course, once you invent one thing, then from there, it's very easy to replicate and it becomes better and better as time elapses. So, that was the thing that happened.

[Speaker 3] (10:18 - 10:22)

So, when did you structure it as a real estate company? When did that happen?

[Speaker 1] (10:22 - 11:03)

Yeah, 85-86 was the prestige estates and properties and prestige constructions, two separate partnership firms were born. One was to buy land and the other one was to do the construction. But then finally, it all got merged, became one firm, easier to operate.

And then, of course, now we've got some 100 SPVs, that's a separate story. But you see, what happened is, based on the need, everything changes, everything evolves. And of course, we became a private limited company in, I think, around 2000 and then publicly listed in 2010.

[Speaker 3] (11:05 - 11:38)

And publicly listed and doing very well in the last three or four years. How are you all friends, uncle? I remember five years or six years ago, we were at dinner in Dubai in some restaurant.

And four or five of your competition, your competing real estate companies. You were all telling me that you go on one holiday together every year, you catch up. This is strange.

This is something I have not seen in any other industry. How does that work?

[Speaker 1] (11:38 - 11:39)

Well, only in Bangalore.

[Speaker 3] (11:39 - 11:45)

This is not all over. One holiday when I was there with them. And I was like, this is weird.

[Speaker 1] (11:45 - 11:46)

Like, what is going on?

[Speaker 3] (11:46 - 11:55)

It's not weird. All men with big egos and lots of money, four or five of them competing. No big egos.

Actually, ego is the one that kills you.

[Speaker 1] (11:55 - 14:04)

See, I always said, if you learn how to bend, you'll not break. But if you are stiff, you can break. And you know, we are, according to me, we are all in the same space, whether it's his dad or her dad.

Like I said, we grew up, we didn't, both of us, when we got into this business, ironically, after I did his wedding suit, this, that, I was in my dad's shop making clothes and doing suits for people who want to get married. And this gentleman was a coffee planter. One day he decided to do, build, put up a building on Brigade Road.

And that's how the word brigade came. And the prestige came from the store that I have in Commercial Street. So, what happened was, we used to go to the same BDA office for one file.

He wanted a change of land use for his Brigade Road property. I wanted to have a change of land use for my St. Mark's Road property. Residential to commercial, his industry, some semi-public to commercial.

So, I always believe there's enough and plenty to do for everybody. That is how I believe in and I think that's how we've taken that leadership. It's just that, okay, if he's got a client, even now today in leasing, when we are doing so much work, I'll say, okay buddy, you've got this client

now.

The next one will be mine because your space is over. Or if it's in, we are doing residential, each one's got their own unique location, unique type of property. For that, I need not to have daggers.

And one thing that we have learned in this city at least, of course, I think now I work in many other cities. Even in Mumbai, nobody has come to trip me down. Fortunately, touchwood.

That's been the thing. Because you have to know how to carry people along with you. And you should support.

I've always supported. Wherever somebody is in a little bit of trouble, you talk to them and see how you can get them out of it. And if somebody is sensible enough, they'll listen.

For their own good, if you tell them something and they don't listen, then it's their bad luck.

[Speaker 3] (14:04 - 14:32)

The one thing everybody does say about you is in social interactions and conversations, whenever a lot of people talk about real estate, they say Irfan is a man of his word. And that story has really permeated society at large. Where does that come from?

No, no, see, it's not, if you have the right intent, everything will go well.

[Speaker 1] (14:32 - 16:17)

Now, otherwise, if you've got a wrong intent, you get the world's best lawyer to do a document. And you want to somehow do something wrong, it'll go wrong. And it's always, I've seen, if you keep up to your word, even if it hurts you, long term, it's a benefit.

Short term, there may be a loss, or I would call a perceived loss or you know, something that you feel that. But then in the long term, what really happens is, it's that you build goodwill. And I think all the developers in Bangalore for that matter, that's why they are all sort of respected.

There is that respect. So that is, I would say, worth any money in the world. And once that respect develops, business grows, everything grows.

And there is a sense of, you know, sort of... Do you just think it was a way of doing business also back then? It was just on a handshake with a handkerchief signature?

No, it was just a, you see, if you say, then of course, you see, even today I have something called, when some landowner comes, I take out a book, I write down the terms. After it's done, I pass it on to my legal guys. And then afterward that gets into one huge structure, document, whatever else.

That is required legally for so many reasons. I mean, compliances, so many reasons you need it. But it's what you have agreed on, is what is most important.

And if you stick to that, there is that so much respect that comes in, so much comfort that comes in. And I think it's not only us, I mean, I think the others also, whoever in this business today, I mean, at least the larger companies are following the same principle. Even her dad follows the same principle.

[Speaker 2] (16:17 - 16:31)

Yeah, I think you have to, right? I think if you're selling somebody their home, who's bringing their life savings with you, if you don't stick to your word and you sort of go off of that, I think word will get around. And I think it's a downward trajectory.

[Speaker 1] (16:31 - 16:36)

No, that is still below, Nirupa. I'm talking about, you know, the larger transactions that you do.

[Speaker 2] (16:36 - 16:37)

Yeah.

[Speaker 1] (16:37 - 16:39)

Because what happens, you're tying up some land.

[Speaker 2] (16:39 - 16:39)

Yeah.

[Speaker 1] (16:39 - 16:50)

You're getting some, you're either agreeing on a joint development percentage or some deposit or whatever, or some specifications with that guy.

[Speaker 3] (16:50 - 16:59)

And then just go through. And then it just falls in place. This is a conversation between four of us, okay?

So don't expect me to ask all the questions. Yeah, yeah, yeah. Oh, you guys can.

[Speaker 2] (16:59 - 17:04)

I'm also like, finishing up his story first. Yeah, then I will come to your story.

[Speaker 3] (17:04 - 17:28)

But you can also ask him questions. How is it, uncle, to manage family in business? This applies to all of you.

I know your brother, your father, your wife. I know Nirupa's dad. I know your kids, nephews, nieces.

It seems to be a very… What was this TV show I was watching?

[Speaker 4] (17:29 - 17:30)

Succession.

[Speaker 3] (17:30 - 17:39)

Don't say Succession. Like different versions of Succession in each of your households. How complicated is that?

[Speaker 2] (17:40 - 19:01)

So Succession is a show I haven't watched because I found all the protagonists quite annoying. So I didn't take a liking to any of them. But I think, like, if you look at it, right, most businesses are family businesses, right?

80% of businesses globally start off as family businesses. And then they get professionalized. And then they go public.

So we all start off as family businesses. And then you have to decide if second gen wants to continue or not. So only, I think, I was reading somewhere that 36% of businesses get into second gen.

And then maybe about 11% or 15% get into third gen. And maybe only 4% get into fourth gen. So I think the challenge is in the, like you were saying, managing egos or managing people and managing relationships.

Because you might have the perfect org structure. But if the human element is not looked into, then the disruption happens. The way we have done it is, my dad was very smart in the sense that he gave my sister and I, she's older than me, different verticals.

And then we also have a cousin in the business. And we also have another family friend who's like a brother to me anyway. And an uncle.

And then my mother was in the business. But all of us handled very different sections and verticals of the business. So there's no stepping on each other's toes.

[Speaker 3] (19:01 - 19:34)

But like every other family, when, let's say 10 family members, being humans at the end of the day, like we all are, people get insecure, people get jealous, somebody gets more validation, somebody gets less. The next generation does not agree with the prior generation. And in the idealistic way of thinking, all of that, how do you cope with that and still stay together?

I think you should answer this since you are like managing probably this at the highest level.

[Speaker 1] (19:35 - 21:16)

No, no, I think similar structure, what Nirupa just now enumerated, and very important thing is this, what she very rightly said about stepping on each one's toes. So we have a, each one is doing their own thing and they have the freedom to do it. Yes, but you're absolutely true, emotions.

No, I would say that like, at least from our perspective, I've seen a break in the family thing. My dad, his brother and my granddad split when we were very young. My dad was building the business.

He was also, I think, around 30 years old. And that split was a lot of ego. There was like, maybe some differences of opinion, miscommunication also on what was the right intention or what was actually happening.

And today, me and my brothers are sort of coming into the business. So seeing how my dad is, I think, taking some learnings or like context from situation that he went through and trying to figure out also the way it should pass on. And I think that that passing on is extremely different in every single family, depending on multiple factors.

Today, we are three boys and there's no other brother or sibling of my father in the business. So it's maybe slightly easier. And we're all taking some interest in building a part of the business.

[Speaker 3] (21:16 - 21:21)

It gets more complicated with every generation. Yeah, it will get more complicated.

[Speaker 1] (21:21 - 22:06)

But it also, I guess, depends on what type of intention, ambition the generation shows. There can be people who are not interested at all in coming into the business. How do they get viewed?

How do they get treated being part of it? Or someone who's taking more extreme, like a lot of initiative. And you can really see them putting a lot of effort in.

So I don't think it's like an equal. I'm not sure if an equals approach works in all situations. But it is

important for some one person, like the head, to make sure that equalization is happening to as fair as possible.

[Speaker 2] (22:06 - 22:42)

No, but in the end, if you look at it, everybody needs to have a certain level of maturity while handling other members. But also, for lack of a better thing, all our wealth or our careers are tied with the success of the company. So if we are not mature about it, what's in the best interest of the companies and the best interest of all the individuals as well, right?

So one key question to ask always is, what's in the best interest of the organization? You know, like you were asking whether to do residential or office or whatever it is. You have to see what is in the best interest of the company.

[Speaker 1] (22:42 - 22:54)

How do you handle it? I mean, you're sort of also, you know. No, no, I tell you what, the good thing is, because of being the state, everybody knows their value, their value.

No, you're not listed. You should get listed.

[Speaker 3] (22:57 - 24:08)

There's something called the minority rule. So if four of us are individually of a certain psychology, when we come together as a group, the psychology of the group is completely different from what we had individually. And three of us might agree and be broadly okay with whatever is happening.

But if that one person who is the minority who disagrees, disagrees vehemently enough, we will have to tweak the company or the decision of the group in a manner that appeases the minority. This happens with many things. If you ask, why is most meat halal today?

Why is Coke a certain way? Why are kosher foods the norm and not the exception? You see it across the world in different products.

So in your family or in Irfan's family, if he has four in the next generation and the one who is minority is very strong and very vocal about what he believes, how do you get him to go along with the other three majority who are more malleable in a way? That's a tough question, right?

[Speaker 1] (24:08 - 24:12)

Well, it is a tough question. Fortunately, we don't have that situation.

[Speaker 2] (24:13 - 25:01)

Yeah, so right now, I agree. See, right now, you're also there. So everybody listen to whatever you say.

All decisions are resolved. But I think, like you said, we are also looking to have an executive council with the key members. Decisions have to be done unanimously and it's either convince or be convinced.

And there's a way to do it, right? There's numbers, there's facts. I think first generation or OGs, as we call them, were more intuitive.

And I think as the organization grows, you have to grow from a person dependent organization to a more process driven one. So then your numbers will come into play. Logic will come into play.

Financing will come into play. There will be other factors. It's not, I feel that this is the best decision, right?

We'll have to showcase it with logic, argument, numbers and hopefully it's a convince or be convinced.

[Speaker 3] (25:01 - 25:19)

If you had to start a real estate company that would thrive today, will the thinking of your generation work in that company or the prior generation? Binary question. You can't have a little bit of this and a little bit of that.

Would Brigid? Prior. Prior.

[Speaker 1] (25:19 - 25:20)

I would say prior.

[Speaker 4] (25:21 - 25:21)

Yeah? Yeah.

[Speaker 3] (25:22 - 25:23)

Why do you say prior?

[Speaker 1] (25:23 - 25:33)

I would say prior because I feel like building a real estate company, you need a lot of risk taking ability. Like if you want to, you know, build from scratch and go.

[Speaker 2] (25:33 - 25:34)

Sorry, I'm saying your generation.

[Speaker 1] (25:34 - 25:35)

No, you need to be intuitive.

[Speaker 2] (25:36 - 25:40)

No, I think his point is intuition. I have a couple of other points which I will add up.

[Speaker 1] (25:40 - 25:51)

I think that today, maybe our generation is, you know, thinks a little bit too much before getting into, you know, stuff.

[Speaker 2] (25:51 - 25:52)

Analysis, paralysis.

[Speaker 1] (25:53 - 26:30)

And in real estate specifically, I feel like you do need to take these bold calls. You do need to take a lot of risks. You do need to build a very strong relationship with, you know, partners upfront.

And I think the previous generation was slightly better at doing that, I would say. If I had to start from scratch. But to take over a business and to build a business, maybe from a platform or a foundation that it is at today, I would say our generation.

Yeah, it's just more generation, more ability to tweak it and, you know.

[Speaker 3] (26:30 - 26:37)

You're saying they had more risk taking ability? 100%. And I feel they, I mean, I've seen.

Also, was that because they had lesser to lose?

[Speaker 2] (26:37 - 27:14)

Yeah, 100%. One is, I mean, yours is risk taking, but I would say the way they work, like I've seen my dad work like long hours, seven days a week. There is no break, but his work is his passion.

And there is, when I ask him, is it your passion? He's like, there's no, passion is a luxury, right? At that point in time, when he started, it was no choice really.

Are you passionate about real estate, Nirupa? So growing up, I didn't think I was. I didn't know what I wanted to do.

But I've had to learn to love what I do right now. So if you ask me today, do I love what I do? Yes, I love what I do today.

But it's been a journey.

[Speaker 3] (27:15 - 27:19)

It's been a journey. But because you learned to love. I learned to love.

It's like being in a bad marriage.

[Speaker 2] (27:24 - 27:36)

I mean, did I grow up dreaming of being a developer? No, and neither did Irfan, neither did our dad. Like you learn, when you see success, you start loving what you do.

If you see constant failure, you'll hate even your passion.

[Speaker 3] (27:36 - 27:38)

I think that's true about all passion.

[Speaker 2] (27:38 - 27:44)

Yeah, so passion cannot be your job is what I believe. Okay, so I have a different take on it. Passion cannot be your job.

[Speaker 3] (27:44 - 27:53)

Do you also feel like you're generally passionate about something? Or your mind feels this is your passion? When you're a little bit better at something than other people around you?

[Speaker 2] (27:54 - 28:22)

See, there are two sides to it. If we just go back to the first part of the question, I have learned to love what I do. Because if you don't love what you do, you can't put in the hours.

I don't think you can become good at it because your desire to learn and all that won't be there. But I have a flip side. It's also what are you willing to suffer for?

You know, is this worth the suffering? See, it's not an easy business. I don't think real estate is easy.

And I would say most, it is a lot of donkey work also.

[Speaker 1] (28:23 - 29:11)

You know, donkey work is the most difficult business to be in. Most thankless job. And okay, we are in it.

We are in it. We thrive in it. Yeah.

Like you said, we love what we are doing. And you see, what I love most about is, you're creating something. It's like an artist.

Now see, I see that lovely painting there. Now that artist will be looking at that painting, looking at every stroke, trying to better it, making it nicer. So I think that's what we are doing.

We are, you see, it starts from one, just that barren piece of land. And then you're creating, you see, in a scale, every, it keeps changing with scale. And it's that creation, what you're doing and what you're putting up is what really gives you that thrill, that energizes you.

[Speaker 4] (29:11 - 29:14)

And you make good money doing it.

[Speaker 1] (29:14 - 29:48)

If I go to my site, what happens is, it may be you will be going through mud and dust and everything else. But to see it getting transformed, it just actually energizes you. But like Nirupa said, it is the most difficult business you can be in.

Here, every single piece of land you purchase, you need to get all the licenses, some hundreds of them. And then the most important part is, you have the other part of it, you have to do salute to all the people that you need not. So that's easy.

[Speaker 2] (29:48 - 29:50)

You have to learn to love all of that.

[Speaker 4] (29:50 - 29:51)

Yeah, exactly.

[Speaker 1] (29:52 - 30:14)

In fact, sometimes we as parents, we say when we, and then we say, how will our children be able to do whatever? Like when we talk about it, we are talking about you, you and my children. So it's a tough one.

And then you have to have that mindset. If somebody is even bashing up, you have to have that ability to keep smiling and being nice and being diplomatic about it. Because if you're not, then

again, you're in trouble.

[Speaker 3] (30:15 - 30:37)

So that's a whole thing. I like what you said. Passion is overrated.

It sounds like the intro line to Succession. But I would rather be, okay, I'll give you two scenarios. Would you rather be passionately doing something which loses money, or dispassionately doing something that makes you money?

[Speaker 2] (30:37 - 30:38)

Easy option, option B.

[Speaker 3] (30:39 - 30:39)

I would anyway.

[Speaker 4] (30:39 - 30:40)

100% sure.

[Speaker 2] (30:42 - 30:47)

I'll make the money, then I'll find some other passion to do. Yeah, I believe that is true.

[Speaker 1] (30:47 - 31:10)

See, Nikhil, every project of yours can't make money. Sometimes you run into trouble. Sometimes there's some, you not sort of taking into account some expenses that come unforeseen.

But I think no businessman, whichever business you're in, would like to lose money. How good would you be at a dispassionate job?

[Speaker 3] (31:10 - 31:28)

I mean, what output you like put out will never be… So maybe there is no true thing such as talent or passion, but we all try a bunch of things. Whatever we are slightly better than our peers at, we start to believe that is our passion.

And that is our talent.

[Speaker 2] (31:29 - 31:33)

It's more enjoyable, right? I mean, you want to be good at something, you don't want to keep…

[Speaker 3] (31:33 - 31:35)

Because you're all innately very competitive, right?

[Speaker 4] (31:35 - 31:36)

Yes.

[Speaker 3] (31:36 - 32:16)

You guys are in a very tough position. I believe in society. The hardest role to have is to be the son or daughter of somebody extremely successful, famous, rich.

Because you're always in this position where people look at you like you're entitled. But in your own head, you have the psychology that, for me to find my own validation and respect. Because everything you're born with is the status quo, right?

That's not going to make you happy. If happiness is each time there is change, a positive change, it's harder for you guys to get it.

[Speaker 2] (32:17 - 33:28)

No, so I think that's a valid statement. I think we can talk about our journeys, but I definitely went through a bit of that when I first came into the business. Because I was like, okay, my dad's known.

He had a bit of a rags to riches story. And, you know, he's known as a visionary, very high acumen. Can't find faults with a guy.

And I was like, how am I going to fill in those shoes, right? So it took me a while. And like I said, for me, it was a journey to be very comfortable, secure, confident in this role.

Like it was a journey for me. I've been in the business now 15 years. And it was a journey.

And I realized I can't try to even, like my role should not be to fill in his shoes. It'll take an army to fill in his shoes. I need to just fill in my own shoes and add something different, you know, that maybe he doesn't do.

And to the previous question you were asking, what a company needs to grow from A to B is different from maybe what it needs from B to C. And so for me, it was what do I need to do or what do I need to do to help grow the company from B to C or C to D? It can't be what my dad did.

There's no way in hell. I'm not in competition with him. I'm not trying to be better than him.

I need to find what makes me me.

[Speaker 4] (33:28 - 33:29)

My space.

[Speaker 2] (33:29 - 33:31)

Yeah, what makes me me and what value I can add.

[Speaker 3] (33:32 - 33:35)

But when society tells you, not openly.

[Speaker 2] (33:35 - 33:35)

Yeah.

[Speaker 3] (33:36 - 33:41)

But at some point your subconscious gets hit when people say she got all this.

[Speaker 2] (33:41 - 34:20)

Yeah, silver spoon. Doesn't that make you feel competitive even with your own father? No, no, no.

So the thing is that, okay, she's only where she is because it's her father. She's a father's company. She got a leg up.

Yeah, I did get a leg up, but I didn't screw it up. I was given a platform. Yeah, we're given a platform.

And I can either screw it up or I can take it to greater heights. So there have been opportunities when nobody talks about those stories where the second gen has screwed it up and maybe that's why they don't go into second gen and third gen. You're talking to us because we've been able to take it to the next level.

[Speaker 3] (34:20 - 34:22)

Generally, third gen screws it up, right?

[Speaker 2] (34:22 - 34:24)

Generally, third gen. So I'm a little...

[Speaker 1] (34:26 - 36:03)

I would say for me, it has been a defining angle to the path that I always definitely wanted to pick even from when I was younger, when I was in college. Even to not jump in straight into the family business to try to do something, even if it was small, like just set up a restaurant and do that. It was for me like a validation that I could do something without having to rely on the family business or what my dad's built.

I think a big reason why I have tried to have a branch out also of the traditional real estate business with just focusing on WeWork and building that was kind of a best of both worlds where under the umbrella and with the legacy and able to sort of continue the legacy, you add some contributing factor which hopefully will end up becoming as big or will add something in equal parts, I think, to the business.

I think that's my way of looking at it. And I'm fortunate enough that I even got the ability, the freedom to springboard off the platform and then be able to do this, which has had its own journey. And that's what now that things are going well, I can say that.

But there could have been, you know, very well a situation where it just went completely under and then I had to like retract back.

[Speaker 2] (36:03 - 36:04)

We all have a chip on our shoulder.

[Speaker 3] (36:05 - 36:23)

Your truly unfiltered dream is WeWork bigger than Embassy? I would love it to be. But is it?

Is it now? In your unfiltered dreams? No, definitely not.

What do you dream about currently? What do I dream about? I dream about...

[Speaker 1] (36:23 - 36:58)

I actually... I do believe that the competition is like healthy in some way. And growing up with three brothers, it's probably, you know, even more so across like everything that we've done.

But we have like such a strong bond that it is like, you know, loving each other's success is probably the defining thing that like I dream about, which is, you know, we each are able to put or add something like...

[Speaker 3] (36:58 - 37:05)

But what if it was not like that and one of you could pick? Like only one of you would be picked to be successful, then what happens?

[Speaker 2] (37:06 - 37:08)

Between the three brothers? Yikes.

[Speaker 3] (37:08 - 37:21)

What happens to me? Who gets to pick? Do you still feel that way?

So you're assuming a scenario where there is opportunity for all three of you to be successful at different things.

[Speaker 4] (37:21 - 37:22)

Right.

[Speaker 3] (37:22 - 37:28)

What if there's only one thing and one of you can lead it, then what happens? Because this is like a succession kind of episode.

[Speaker 1] (37:29 - 38:28)

Starting here. I think that it's important for the person who is that to keep their ego aside, right? If you really, truly want to continue the legacy.

There are obviously situations of people who will let that get to their head and completely move the other way, leaving everyone behind. I think there's two approaches to it. You can be the person that has that and keep your ego aside for the larger interest of what had come before and then what should be the situation later, right?

We spoke about third generation deteriorating it, but that doesn't have to be the case. There is ways and there have been enough families that multiple generations, even up to fifth or sixth generations have built huge enterprises. I mean, companies like Walmart and things like that in the US.

[Speaker 3] (38:28 - 38:30)

Not so many Indian examples.

[Speaker 1] (38:30 - 39:14)

No. But I feel like India is sort of where, and my dad also says this, where America maybe was in the 80s or 70s or 80s where most companies were family businesses. They will slowly transition into being public.

I think your world also gets to see how many are transitioning into that field. And then they'll get

professional and you'll have boards and you'll have charters and structures and succession planning. And all of that will happen like it has in many countries.

And China is another example where similar things happen where you don't really know the faces of those companies, but the wealth has definitely passed on multiple generations, right?

[Speaker 3] (39:15 - 39:41)

And I see a lot of wealthy people, wealthy on paper, techie guys, software companies, rich people in different industries. Nobody feels so, nobody feels even remotely close to as wealthy as real estate people. Your houses, your cars, your planes.

Like why do real estate people- I think it's like cash flow over valuation.

[Speaker 2] (39:42 - 39:45)

I mean, because- It's the best investment class. That's why.

[Speaker 1] (39:47 - 40:06)

Not really. You see, of course, at least today the bankers also have learned the value of real estate because that's the only asset that can't go up in smoke. At least even if they have something to hold on to which they can, if they hold on longer, they'll actually make money out of it rather than lose money whatever they have to recover.

[Speaker 3] (40:06 - 40:24)

You know, uncle, that is what scares me most about real estate. Like if I were to put five real estate developers in a room, the older they are, the more they will be forceful about this. But every single one of them will believe real estate prices can never go down.

Whatever happens.

[Speaker 1] (40:24 - 41:09)

No, no, no. See, it depends country to country, population to population. Now take, cut and just come to India.

With the type of population that you have in this country and there is still, according to me, a tip of the iceberg. There's, you know, there's still a lot more urbanization that has to happen. A lot more people who are aspirationally wanting to buy a home.

Yes, there have been periods, real estate always has its periods where suddenly price goes up too high, too fast. Then there's a plateau and that plateau continues for a little while where price neither goes down, doesn't correct itself, doesn't go up. Or if somebody wants, that's why we say

real estate is illiquid.

You want to sell, there's not too many buyers.

[Speaker 3] (41:09 - 41:10)

What if the demographic change?

[Speaker 1] (41:10 - 41:55)

And then with the inflation, it goes up again. But with the type of people that we have in our country, the type of job creation that's happening, the type of industrialization we are talking about and we are seeing it real. See, now in the initial days when we got into this business, who was I selling to?

Who was my buyer? It was people who were retired, who had a provident fund or who had sold some property somewhere in a larger city in the bigger city and came here with that little extra and wanted to buy a house. And then the transactions were few and far between.

Just this morning, I read that the maximum housing sales have happened in the last quarter. Why is that? It's only because their demand is very real.

[Speaker 3] (41:56 - 42:36)

Can I make a counter argument? Make a counter argument. What if the demographics, let's say India's population is X.

To retain that population, every couple has to give birth to 2.1 children replenishment rate. 40 years ago, we were giving birth to four or five children per couple. Today, that number is 2.2, 2.3. In many states, it's under 2.1. The immediate effect of that will be at any given point of time, instead of having four generations looking for housing, we'll start to have three. Because even the women who are giving birth are giving birth at 35 instead of 20.

[Speaker 4] (42:37 - 42:37)

Correct.

[Speaker 3] (42:37 - 43:15)

Tomorrow, if we get to that point where India, like Japan, has a large percentage of our population which is older and there are lesser young people coming in and older people, I would assume, need lesser real estate. Combined with that, that somehow we buck the urbanization pattern that we have witnessed in China because of work from home and a bunch of different things. Don't these risks need to be factored into that dialogue of real estate will always go up?

Yeah, yeah, that's not going to happen.

[Speaker 1] (43:15 - 43:19)

That's not going to happen very soon. Today, not tomorrow.

[Speaker 3] (43:19 - 43:23)

In 30, 40, 50, 60, 70 years. Wouldn't that have to do with anything that's consumption?

[Speaker 1] (43:23 - 43:27)

I mean, not necessarily just real estate. It's literally everything then.

[Speaker 3] (43:27 - 43:39)

But I think as people are becoming more affluent, they're consuming more energy. They're consuming more FMCG because that is essentially attributable to the fact that they can afford it now.

[Speaker 1] (43:39 - 45:14)

But everything is like I want a better quality of life, right? Now, as of now, Nikhil, the thing is, there is a shortage, real shortage. There's a real need.

And by the time we have that, like it's just like our infrastructure, the population has grown, the business has grown, the development has grown, and our infrastructure is always trying to play the catch-up game. Now look at our roads, look at our traffic. It's not that infrastructure hasn't improved.

It has, but the traffic has improved that much more exponentially. So it's similarly for us. You see, there is a real demand and that real demand, it'll go.

That is why just before we started this conversation, I was telling Rupa, I think always what we need to have is an eye on who is my customer. Who can afford me? What type of pricing they can afford me?

And that has to be from the mass. If that is my product and that is where I'm targeting, I'll have enough business to go around. Now, if I'm just doing very luxury housing, okay, that also I can do.

But I should be happy to just be very content with that niche market, where I'll do lesser revenue, lesser business. It's not that the business will not happen. It's not that there are no takers for that.

There will be takers for that, but in a smaller measure. Okay, the satisfaction is like, you know, is

just doing something very, very unique, something special and just keeping it only as a collector's item for a few people or whether I want to do a product which is for the mass.

[Speaker 2] (45:14 - 46:23)

If I may just jump in on that. See, just prior to COVID, there was this whole thing of this, what you were saying, right? The new generation doesn't want to own a car.

They're going to rent a car with Uber. Nobody's going to live in hotel rooms. It's going to be Airbnb.

So there was this whole discussion and debate about whether people will buy homes or only rent homes, right? And now, you know, fast forward to 2023 or 2024, we're seeing decadal highs. We've not seen this kind of demand ever.

One reason, of course, is urbanization. What my uncle was saying. Right now, urban cities are at 35% urbanized, like 35% of the population lives in urban cities, which is about 480 million people.

This is expected to go up to 40% by 2030 or so, which is 600 million people. Where are all those homes getting built? Indian developers put together, probably put out, in the top eight cities, about 450,000 to 500,000 units.

But you're talking about 120 million people coming into the cities. The demand and the macroeconomics are so favorable to real estate.

[Speaker 4] (46:23 - 46:24)

No, I agree there is demand.

[Speaker 3] (46:24 - 46:33)

I'm trying to predict the curve, the future curve of the demand. Are we looking forward five years and seeing there's demand or are we looking forward 50 and seeing there's demand?

[Speaker 1] (46:33 - 47:39)

I mean, I think the volumes of the demographic is so high that it's multi decades, right? I don't think it's like a five-year situation. If we were, let's say, in a much smaller country where you were talking about, I don't know, a million, two million, five million people being the population.

I think it's a different discussion when we're talking about 1.7 billion and only a small percentage at the upper pyramid and such a huge volume like this tidal wave that's moving upwards and our aspirational want a better life are moving to bigger cities. It's not physically possible to even just build that type of capacity where supply would outpace the demand. The time it takes to just put up an apartment or get the approvals and all that is like five, seven years when you talk about

buying the land, getting all the approvals, then three years to build it and then finally sell it and all of that.

It's such a long period that it would be impossible for the supply to...

[Speaker 3] (47:39 - 47:46)

Do you agree that real estate prices today for land and finished product are pricey?

[Speaker 1] (47:48 - 48:19)

See, I say we are being very, very conservative in our pricing. According to me, it has to be very sensibly priced because otherwise affordability doesn't hit in. Moment you become pricey, the number of customers reduce, the number of takers reduce.

So, we have to balance both together properly. So, that's why our margins are all very, very, very minimal. I mean, you go anywhere else in the world, the margin for real estate developers are huge for the type of trouble they take.

[Speaker 2] (48:20 - 48:43)

The last few years, I think post-COVID, there wasn't much of a price appreciation, right? In 2020, 21, 22, there wasn't too much of a price appreciation. Last couple of years and prior to COVID, we used to see what an average of 5 to 7% increase per year.

But in the last couple of years, I think we've seen 20% increases, 25% increases, and that's mainly because of just the latent demand.

[Speaker 3] (48:43 - 48:45)

Sometimes more, no? 100% more.

[Speaker 2] (48:45 - 49:04)

Yeah, I'm saying... Not 100%, but like say 20, 25%. And that's a factor of two reasons.

One is because there's just no inventory in our major cities. Like Bangalore has an overhang of what, three and a half quarters, which is nine months or so. And just to get projects approved, it takes 9 to 12 months.

[Speaker 1] (49:05 - 49:05)

18 months.

[Speaker 2] (49:06 - 49:20)

Okay, 18 months in some cases, but on average, about 9 to 12 months. So, there is like all the inventory that we have will sort of run out if we don't launch more and more projects. So, that's the kind of demand that there is.

So, yeah. So, that's why I think...

[Speaker 1] (49:20 - 51:55)

I think that, I mean, all players have deeper pockets, willing to spend more. Lot more listed companies need to grow. So, there is some amount of a little bit of splurging also happening.

Like not everyone has been as responsible with, you know, pricing and signing certain JDA terms or paying, you know, a certain price for land and things like that. I think Mumbai, the type of prices, the way the prices have, you know, sort of like gone up, it has a trickling factor of how much it costs to buy the land or buy fresh land, which is, I think, why also a lot of developers prefer a JDA type of, you know, structure because it's much lighter. I can put stuff up much, much quicker.

I have a different take on this. You know, we developers do the hard work. We create the wealth for others.

Honestly. Who are the others then? Others mean my buyers.

And landowners? No, no. Landowners is one side.

It's, you see, I've never seen any of my buyer who has bought for X, who's not gone 2X or 3X or 4X. So, it's, you see, I mean, OK, we sell on plan. So, what happens is somebody has to have the belief in us that we're going to produce whatever we are promising and deliver it within that time frame, within that spec.

But if I've really done that and which invariably we have been doing year on year, project after project, the end product, the customer who buys, OK, maybe 80% or 70% buying for their own use. But there are people who are also investing and their value just goes up exponentially. And these are the guys who really benefit even for that matter, land.

You see, land is X, about 10 years ago, 5 years ago, it's a different price today. So, it's basically all the work that we do, the type of creativity that we do it and the type of problem that we go through to put up that development, the beneficiary is multifold. First, it starts with the government, then it starts with my buyer, then it starts with everybody else and the user also.

You see, so we should take pride that we are doing all the hard and dirty work and we are responsible to see that we are creating wealth. I'm telling you, don't smile because if you want any product from me, I'm smiling because she's agreeing with me, unless she's disagreeing with me.

[Speaker 2] (51:55 - 52:10)

In the US and countries like that, actually everything is loaded onto the contractor. The contractor, that's turnkey there. The developer just gives the branding, the marketing, buys the land.

All the dirty work is actually done by the contractor. Everything is done by the builder.

[Speaker 3] (52:10 - 52:13)

Isn't construction outsourced even here? Construction is outsourced.

[Speaker 1] (52:13 - 52:23)

But they only do construction. But some companies are also doing the internal work. Subcontractors.

But everything is supervised by the developer. Everything is supervised.

[Speaker 2] (52:23 - 52:37)

What I'm saying is the contractors only do the construction, which even then, if something goes wrong, they don't take responsibility. It's the developer's name that will get tarnished. So in the end, we are the principal, employer.

Don't you agree we are doing the dirty work?

[Speaker 1] (52:37 - 52:40)

Don't you agree that we are creating wealth for others?

[Speaker 2] (52:41 - 52:42)

Yes or no?

[Speaker 1] (52:43 - 52:47)

Isn't your product that you've sold on plan and what is now when it's ready?

[Speaker 2] (52:47 - 52:50)

Actually, we should be getting higher returns than we currently are. Because...

[Speaker 3] (52:50 - 52:50)

Agreed.

[Speaker 2] (52:51 - 52:56)

Actually, if you look at the listed entities, the margins, like you said, profit after tax is very slim.

[Speaker 3] (52:57 - 52:58)

Make what? 11-12% margin?

[Speaker 2] (52:58 - 53:04)

That's it. That's in a good year. Otherwise, sometimes it's high single digits also.

PAT. I'm talking about PAT.

[Speaker 3] (53:04 - 53:08)

Why is there a difference in that margin number between different companies? Listed ones?

[Speaker 2] (53:09 - 53:21)

It's around the same. It's like maybe a percentage or two different. It's just operational efficiencies.

It's your GDA sharing ratios. It's your procurement. How efficient are your procurement?

Yeah.

[Speaker 3] (53:21 - 54:23)

Cost of construction also. The question we want to answer today. Okay.

Before we finish our conversation, we always speak to young wannabe entrepreneurs. So we need to tell someone young, how do I start a company? Anything real estate related or a real estate company?

And the second question is, should they invest for people who have the means? Should it be commercial? Should it be residential?

Should they do fractional real estate? So we want the answer primarily to the question. I'm young.

I'm 20 years old. I want to start a real estate company. How do I go about it?

If we were to start the journey of real estate companies, at some point, it used to work in the manner that you would design a certain project. You would go to a bunch of people. They would give you money and they would buy.

And with that, you would execute the project. When did that happen up until? That's happening

even now.

[Speaker 1] (54:25 - 54:26)

See, that's how it's all.

[Speaker 3] (54:26 - 54:31)

Now there are rules where you need to have done, acquired the land, done ABC before you sell, right?

[Speaker 1] (54:31 - 57:05)

Yeah, yeah, yeah. See, the thing is, yeah, you're right to a certain extent. That's why everything went wrong in real estate also, where then people probably thought they had the land.

They thought that they had the approval or they thought that they can get the approval. And then they went to a bunch of people and said, listen, I've got this land. I've got this approval.

I'm putting up this building. And then, you know, then everything became a nightmare. Everything went wrong.

That's where the confidence also was lost among people of real estate. And then we were all looked at as like those big bad guys. But now with RERA in place, that's how another factor that has really changed the market is that because there's a confidence.

Now, as I said, there's not that much more. It's now completely transparent. You have to have everything in place.

Of course, the land first and then the approvals, most importantly. Then you log in for and get your RERA number. That is very cumbersome.

So what it has done is it has consolidated the number of players itself. And I always say that the people refer as big players, small players. I don't, I definitely don't subscribe to that.

It can be even the smallest of the player doing one single project. If you do it well, do it professionally, do it sincerely, you can succeed. It's not that you can't succeed.

OK, in the olden days, you could just, if you did it sincerely and said, OK, I've got this land, I've got, I'm going to get this approval. I've already got it. I'm pre-selling.

Even today we do the same thing. We do pre-selling. The only difference is today you do it with all approvals, everything in place and nothing, there's nothing left for things to go wrong, except that you are midway of a project.

Somebody files a litigation against you for no reason whatsoever. That is something that you

can't predict. That can happen to anybody, anytime, anywhere.

But those are like very small cases. But if somebody really wants to get into real estate as a youngster, yes, you have to learn to start small. You have to learn to take the baby steps first.

You see, if I have to come to either I take the lift, it's not possible. If you have to climb the steps one by one, reach flow by flow, reach the top, you just can't go to the top from bottom to, it's not that easy. You have to work hard.

You have to work for it. And if you've done some work, if you've got the confidence, you've produced it once, done it second time, done it third time, then there's nothing stopping you. I think that's how everybody started.

[Speaker 2] (57:05 - 57:14)

Yeah, I think everybody started that way. And I think the first one is always the hardest because you don't have an established brand. People don't know if everything is proper.

[Speaker 4] (57:14 - 57:15)

They don't know who you are.

[Speaker 2] (57:15 - 57:22)

They don't know who you are. But I think now, again, given that if you're RERA approved, that means most of the sanctions are in place.

[Speaker 3] (57:22 - 57:23)

Not all the sanctions.

[Speaker 2] (57:23 - 57:28)

Yeah, all are in place. So then you can't start your project without getting your RERA approved.

[Speaker 3] (57:28 - 57:34)

So if I'm 20 and I've been, I managed to borrow 10 crores from a bank. I want to start a real estate company.

[Speaker 1] (57:34 - 57:41)

What do I do next? I don't know. Like, you know, real estate also is now so broad.

And there's just so many levels.

[Speaker 3] (57:41 - 57:47)

Can you define how broad? How big is the real estate sector in India? I don't know the exact number.

[Speaker 2] (57:47 - 57:50)

It's supposed to be one trillion dollars by 2030.

[Speaker 3] (57:50 - 57:53)

If I look at, you know, the... So say about 650 billion now.

[Speaker 2] (57:53 - 57:56)

Yeah, one trillion. It should be one trillion by 2030.

[Speaker 1] (57:56 - 58:16)

There are obviously, you can just do land aggregation as your sole part within real estate. You can be a full stack developer that is, you know, doing everything. You can be just in the construction contracting business.

You can be just a broker. You can be just doing property management. You can build prop tech on top of it.

[Speaker 3] (58:16 - 58:50)

You can do, you know, online like brokerage, which is now, you know, moving in that direction. What should I do? I have 10 crores I borrowed from a bank.

We established that the real estate market is 600 billion in total. Residential is about 45 percent. Commercial is 10.

Plotting is 12. And mixed in others are 30 percent. I want to deploy my money and start a business.

Give me one, two, three in the real estate world. What should I do? Should I be a broker?

Should I be a...

[Speaker 1] (58:50 - 58:52)

See, you need to learn the business first.

[Speaker 4] (58:52 - 58:53)

Yeah, I would say...

[Speaker 1] (58:53 - 58:58)

The only way to learn the business is dabble in property, buy property, sell property.

[Speaker 4] (58:58 - 58:59)

Is that how I should start?

[Speaker 3] (58:59 - 59:00)

Buy and sell property?

[Speaker 1] (59:00 - 1:00:25)

Yeah, I think that way you'll get to know the nuances. You'll get to know how to read a contract. You'll get to know...

I would look at an angle where there's firstly not enough players. There's not, you know, all these big guys in it. And then find an angle in there, which...

No, otherwise simple. Take a small property, buy a small plot. Either get into a JD with a small landowner who trusts you.

Pick up that plot and do one... Concentrate on that one development, design it well and price it correctly. Sell it to your bunch of customers.

That will be your first beginning point. Once you've done that and you get the confidence and the customers get confidence in you, you move to the next. You see now, a lot of these smaller guys did start this way.

Brokers started doing development. But what happened is greed got better there. They suddenly...

They had so much cash flow. One led to the other, to the other, to the other. There was no RERA also that time.

And then another big problem was don't follow the law. I call it simply my building my law, no building by law. On a small plot, we can build X.

You do X into plus something, one more floor extra, whatever else. So that actually brought into... So you would suggest for me to start?

Start with all your approvals in place.

[Speaker 3] (1:00:25 - 1:00:25)

Get approvals.

[Speaker 1] (1:00:25 - 1:00:26)

Follow all the rules.

[Speaker 3] (1:00:26 - 1:00:27)

Build something in self.

[Speaker 1] (1:00:27 - 1:00:44)

Exactly. Do it once. Do it properly.

Maybe your 10 crores will give you a couple of crores. That couple of crores, you again reinvest it back. It will slowly grow.

It won't grow overnight. But what it does is what will grow in you is your confidence and your brand.

[Speaker 3] (1:00:44 - 1:00:48)

Slowly you'll build your brand. And you would suggest I do a JD? JD is the best.

[Speaker 1] (1:00:49 - 1:01:17)

JD is the best. Then the only thing in a JD, what you need to do is you need to know how to manage people. If you're able to know how to handle your landlord, his expectations or somebody who's known to you, that's a good thing.

But if you buy, yes, all the problems also yours. All the benefits also yours. But then the number of the...

the amount of money that you require will be much, much more. Probably you can't really start with 10 crores. That's too small an amount today.

[Speaker 3] (1:01:17 - 1:01:22)

But if I want to start a real estate project afresh, will a bank lend to me to do this?

[Speaker 1] (1:01:23 - 1:01:23)

Not to buy land.

[Speaker 2] (1:01:24 - 1:01:24)

Not to buy land.

[Speaker 3] (1:01:25 - 1:01:30)

But for construction, they'll give you. But if I find a JD partner who gives the land, then they'll lend money.

[Speaker 1] (1:01:30 - 1:01:32)

Yes, for the construction, they do lend money.

[Speaker 2] (1:01:32 - 1:02:15)

So I have a different perspective in terms of like, we need to know your risk appetite. I don't think there's a one size fits all, right? Like if you ask me, land aggregation has the highest risk, but also the highest reward.

And land... the people who buy land early hold on to it. That's also a different business model.

No, but I'm trying to build an active job. So yeah, for active job, I would say like, if I had that 10 crores, I would also look to do a JDA with somebody who already has expensive land, maybe in a small CBD property. You can use your 10 crores as the equity you put in and then get the balance as a debt from a bank to do the construction financing.

And then hopefully once you get your approval, start selling to start funding the rest of the project.

[Speaker 3] (1:02:15 - 1:02:20)

You run the REAP program. Wouldn't you want me to invest in some prop tech company and try to build that?

[Speaker 1] (1:02:21 - 1:02:42)

I would say that my angle would be more of an operating entity within real estate, maybe less of a development entity because it's so competitive and so, you know, murky also at the lower level to get into. So things around maybe energy, things around...

[Speaker 3] (1:02:43 - 1:02:44)

Energy for real estate?

[Speaker 1] (1:02:44 - 1:02:45)

For real estate.

[Speaker 3] (1:02:45 - 1:02:47)

Elaborate, what would I do?

[Speaker 1] (1:02:47 - 1:02:54)

Yeah, I mean, 30% of all emissions is really from real estate.

[Speaker 3] (1:02:54 - 1:02:55)

Second largest emitter.

[Speaker 1] (1:02:55 - 1:03:01)

Yeah, it's the second largest emitter. And if we need a transition as a company.

[Speaker 3] (1:03:01 - 1:03:04)

That's more from real estate construction, not the living.

[Speaker 1] (1:03:04 - 1:03:19)

I mean, yeah, but also operating wise, there's a lot of consumption that happens, right? When physical people are using a building, whether it's residential or commercial, there's a lot of activity that happens, waste, solar, the need for energy.

[Speaker 3] (1:03:19 - 1:03:30)

I think the prime minister has said 1,50,000 homes with solar roof. But in a city like Bangalore, like where is, like I live in this apartment, I don't have a roof. Yeah, but...

[Speaker 2] (1:03:30 - 1:03:36)

But you have your terrace, right? That can be used to power all the common area life.

[Speaker 1] (1:03:36 - 1:03:57)

See, there are, but there are many things. It doesn't mean... But how is that a business?

It doesn't mean just the generation. It can be the management. The real estate itself, not the ancillary stuff.

You can, you can, I mean, doing solar and building solar parks is also real estate, you know, to a large extent. I mean, it is real estate. In fact, you buy land, you have to build on it.

[Speaker 3] (1:03:58 - 1:04:13)

But the yields in that have come down to like 13-14% today. Like if I were to start off with X amount of capital, even if I do a PPP and earn, say, best case scenario, 13-14% on a solar farm,

it doesn't cut it for me. I want to build a career in this.

[Speaker 1] (1:04:13 - 1:04:22)

Yeah, but it depends now, like with, you know, and that's why I said operating entity, because I feel like 10 crores is too small, right? Whether it's like building technology.

[Speaker 3] (1:04:22 - 1:04:23)

Forget operating entity.

[Speaker 1] (1:04:24 - 1:04:25)

Tell me broker.

[Speaker 3] (1:04:25 - 1:04:27)

Tell me something in tech. Brokerage is lowest risk.

[Speaker 1] (1:04:27 - 1:04:28)

Brokerage, you don't need 10 crores.

[Speaker 3] (1:04:29 - 1:04:42)

Yeah. But can I add some technology there? Because why do I pay 1-2% when I'm buying and somebody pays 2% when they're selling?

It seems unrealistic that that would be the price after all this price discovery mechanism.

[Speaker 1] (1:04:43 - 1:06:04)

This is what we mentioned is current mentioned is a lot of brokers now have gone into tech. Now the conventional brokers are sort of become dinosaurs. All of them have used tech.

All of them are sort of going on to different technologies where they are able to generate inquiries from customers, answer those queries, hire a whole lot of people, young kids who can go online, get the booking forms and actually popularize the product in a much larger platform. And that is what is happening because the volumes that are happening today, the conventional agent probably today what he's doing, he or she is doing is only the bringing a land to the developer and doing a land transaction. But the volumes that come today from a broker where we pay our 2% and I think in our company at least I know that for sure 50% of it is done through brokers because they become my selling arm and they are using only technologies and all new names are there.

No one single old name in the market that is there and the youngsters are doing it. So that is one

thing where brokerage happens. So brokerage is the easiest business.

The only investment again is in technology. But if you want to become a developer per se.

[Speaker 3] (1:06:05 - 1:06:15)

No, no, I'm not saying developer. I'm saying I have this much money. I want to have some return on the money, anything real estate.

So if you tell me rent office space and make it co-working, I can do that.

[Speaker 2] (1:06:15 - 1:06:19)

No, are you saying you want the highest return or are you saying you want to create a business?

[Speaker 3] (1:06:19 - 1:06:20)

Create a brand.

[Speaker 2] (1:06:20 - 1:07:41)

Tell me, tell me one for one. I'll tell you. Highest return is if you ask me, you take that 10 crores, invest in land, do some plotted development, develop it yourself and sell it.

I think you'll get the highest return. The next highest return would probably be with doing a JDA with a find somebody who wants to develop the land. But why will they trust you if it's your first project that you have to have the credibility and the sales pitch to convince them?

The third less riskiest and probably one with least capital required is a brokerage firm. But then I don't think you're you will get your two percent, but it's is your network good enough to connect the two people? And it's a very, very competitive space, not only online.

What about something REAP related? So REAP is in the end, it's technology, right? And I look at technology as an enabler.

So there are so many marketplaces that come up, right? We've seen our housing.com, Magic Bricks, so many of them are now no broker, which has become a unicorn. But it's a very, very competitive space.

Like we see at least like 50 to 60 companies that apply in this space per batch. So what will separate you from the rest? Are your algorithms so phenomenal?

Hardly anybody is able to make a dent. They can make money, they can make a profit, they can be unit economic positive. But are you going to like, I don't know how many of them I would bet on to become the next unicorn.

[Speaker 3] (1:07:41 - 1:07:45)

One REAP company that you would put your money on if you had to do it all over again today?

[Speaker 2] (1:07:48 - 1:07:56)

So we did. So we've seen some good success in a couple of them, which again, one was favorite. Today I will say Lightstore.

[Speaker 3] (1:07:57 - 1:07:58)

What do they do? That's Kishore.

[Speaker 2] (1:08:00 - 1:08:32)

Mahindran has invested, Axel has invested in them. So it's for retail. It's basically leasing a retail space and it's for D to C, basically it's for D to C brands to come online.

Sorry, online brands to go offline and to check the market space. So what they do is typical retail leases are like nine years, six years. They take the space for three years or so and then they give it out to brands for say three months at a time and they churn around the space 48 hours.

[Speaker 3] (1:08:33 - 1:08:35)

Say the name again, they'll get a lot of traction after this.

[Speaker 2] (1:08:39 - 1:08:39)

Lightstore.

[Speaker 3] (1:08:39 - 1:08:39)

Right.

[Speaker 2] (1:08:40 - 1:09:02)

So yeah, so they've been seeing very good traction. It's a brand I didn't, it's a concept I didn't think would see the kind of success that it did. So it actually started with these two founders from Reap and then Ragu also joined them later.

But then I think that hardly any disruption is being seen in retail right now. So this is the first of its kind and I think they have the ability to scale up pretty fast.

[Speaker 3] (1:09:02 - 1:09:21)

And if I were to be starting a new business, they say the split today of sales in housing, affordable

is 27%, mid-premium is 30% and luxury is above 41%. Where should I focus? I think that number 41% luxury is slightly wrong.

[Speaker 2] (1:09:21 - 1:09:25)

That's a recent number. I think I saw this, the Night Frank report, I think that you saw.

[Speaker 1] (1:09:25 - 1:09:28)

Somewhere it's a little lopsided because somehow some of these reports, I don't believe them.

[Speaker 2] (1:09:28 - 1:09:30)

Isn't it the first half year of 24?

[Speaker 1] (1:09:30 - 1:09:50)

Whatever it is, because that could be a little skewed. I would say luxury will always be in that 15-20%. He can vouch for it.

Then this mid-segment will be that 50% and the balance will be below that.

[Speaker 2] (1:09:50 - 1:09:54)

So uncle, it's how they've defined it. I think in that report, they said over 1 crore, 1 crore.

[Speaker 1] (1:09:55 - 1:09:59)

If luxury is 1 crore, then everything is mid-segment. So that's what they said.

[Speaker 4] (1:10:00 - 1:10:03)

It's over 1 crore, that's why it's showing. They've skewed it.

[Speaker 1] (1:10:04 - 1:10:04)

I didn't see that report.

[Speaker 2] (1:10:04 - 1:10:08)

They put 0 to 50 as low and 50 to 1 crore as mid.

[Speaker 1] (1:10:09 - 1:10:14)

Now tell me, where in your company itself, do you get anything less than a crore?

[Speaker 2] (1:10:15 - 1:10:29)

If we talk about luxury, at least the way builders do it and uncle, you can let me know. But the way we define it is above 3 crores is probably luxury. Between 1.2 crores to 3 crores is upper mid-segment.

[Speaker 1] (1:10:29 - 1:10:32)

We'll say 75 lakhs to 1.2 crores.

[Speaker 2] (1:10:32 - 1:10:57)

And mid-segment is actually 90 lakhs to 1.2 crores. That's how we define it. And it's very hard to do so-called affordable housing.

Affordable housing is defined at some 45 lakhs, plus everything comes up to almost 60 lakhs. But the way land prices are going, it's really hard to do affordable housing. I think in that same report, it'll show that number of affordable housing homes will have dropped by 50%.

[Speaker 1] (1:10:57 - 1:11:53)

No, it should not go on price. It should go on the size of the house. So I would take it as, say, a 45-square-meter house or a 1,000-square-meter house or a 100-square-meter house.

So it just depends on that. In Bombay, you could pay for 10-square-meter house also the same price. So it depends because the price can always keep changing.

So I always base it on the size of the house. And then, of course, it's the overall affordability in terms of the ticket size. If you ask me, what is the fastest-selling, what is evergreen, is that 75 lakhs to maximum going up to a two crore.

It'll get lapped up within no time. Then after that, you move up of the bracket. You are going to between, say, two crores to five crores.

It's a little more difficult. Then above that is for people like Nikhil Kamath.

[Speaker 2] (1:11:54 - 1:11:56)

So your question is, I think the safest bet...

[Speaker 1] (1:11:58 - 1:12:04)

He'll go to that 50-60 crore one. He's so enlightened that he's passed that also. He's like passed the bikes.

[Speaker 2] (1:12:04 - 1:12:10)

Your safest bet is that 75 lakhs to one crore. That so-called mid-segment for us.

[Speaker 3] (1:12:11 - 1:12:13)

I was telling them recently I bought a house.

[Speaker 2] (1:12:13 - 1:12:16)

Yeah. How come you're a convert? You always said you wouldn't buy a house.

[Speaker 3] (1:12:16 - 1:12:20)

I think you should make it public that you bought a house just so people have some faith.

[Speaker 2] (1:12:21 - 1:12:23)

He can be the poster boy for real estate now.

[Speaker 3] (1:12:24 - 1:12:52)

No, so the thing with renting, of all the advantages of renting, I think there is one disadvantage. That you don't have foresight as to when you can move out of the house. Like I had to move out of this house whereas maybe I would have liked to live for longer in this house.

And that, not having the nuisance value of having to move, felt like it made sense to buy one house. Yeah.

[Speaker 1] (1:12:53 - 1:12:56)

And I think that's the primary reason that security of…

[Speaker 2] (1:12:56 - 1:13:20)

But let me ask you a question. So when you do your stock market analysis, right, you look at the health of a company, which includes, say, its balance sheet and how strong the balance sheet is. Now for an individual as well, we also need to have a strong balance sheet, right, so-called balance sheet to have that financial security.

So don't you think buying a home adds to the financial strength, security, balance sheet of an individual?

[Speaker 3] (1:13:21 - 1:13:27)

I feel like something like gold can give that to me. I hate the illiquid nature of real estate.

[Speaker 1] (1:13:28 - 1:13:40)

Real estate, as I told you in the beginning itself, it is illiquid at times. At times, it can just

disappear immediately. But it is an illiquid asset.

It's not… No, but something like this will always be liquid.

[Speaker 2] (1:13:41 - 1:13:43)

It will probably always… Not necessarily.

[Speaker 1] (1:13:43 - 1:13:44)

I don't think so.

[Speaker 2] (1:13:44 - 1:13:45)

In a downtime, it won't be luxury.

[Speaker 1] (1:13:45 - 1:14:02)

Oh, downtime, whichever time you pass it, you must get the right buyer, right price, and there's a time within which it doesn't happen overnight. See, if I've got X amount of stock, I want money tomorrow, I just call up my stockbroker, at whatever price you sell it, he'll sell it and give me the money in three days' time.

[Speaker 4] (1:14:03 - 1:14:04)

That can't happen in real estate.

[Speaker 3] (1:14:05 - 1:14:12)

I feel like even for this apartment, right, like the places like this have fewer buyers as well.

[Speaker 1] (1:14:12 - 1:14:12)

Absolutely.

[Speaker 3] (1:14:12 - 1:14:17)

So the pricing is a question of if 10 people here decide to sell, then everything is haywire.

[Speaker 1] (1:14:17 - 1:14:17)

Yeah.

[Speaker 3] (1:14:17 - 1:14:20)

Then the pricing is very arbitrary in nature. So apply and demand.

[Speaker 2] (1:14:20 - 1:14:22)

Yeah. But that's like the…

[Speaker 3] (1:14:22 - 1:14:37)

The same thing for the stock market. Yeah. Okay.

But I think stock market has more people, like in a certain company, if 1 million people decide to sell, then it makes a significant difference. Here, 10 people decide to sell, I think the price is higher.

[Speaker 2] (1:14:37 - 1:14:39)

But it's more like, again, then it's like startup investing, right?

[Speaker 1] (1:14:39 - 1:14:43)

It's not necessarily 1 million people. One person holding 1 million shares will make a difference.

[Speaker 3] (1:14:44 - 1:14:48)

But in the stock market, I can buy and sell without paying 5%, 6% stamp duty.

[Speaker 2] (1:14:49 - 1:14:52)

Which makes price discovery very inefficient.

[Speaker 3] (1:14:52 - 1:14:53)

Yeah.

[Speaker 2] (1:14:53 - 1:15:09)

That's the only thing I would say that makes it illiquid is the transaction cost of it. And of course, your long-term capital gains and things like that. Yeah.

Taxation is better in equity markets. But that brings me to… Yeah.

But the question is, how often do you want to flip a house also?

[Speaker 3] (1:15:09 - 1:15:30)

No, that is a nuisance. But see, that is privilege for me, which I'm cognizant to. I can afford to buy a house in 1-2 cities and forget about it and say that in a year, I'll spend X amount of months here and there.

But for most people, Yeah. that is not the case. You're making a very binary decision.

[Speaker 2] (1:15:30 - 1:15:58)

Should I rent? Should I buy? If I buy an apartment, I'm stuck.

But some people Airbnb it. Not India, because it's not as mature a market. But say in Europe or US, Airbnb is the best thing to do.

It's a very mature market to stay in it whenever you want or give it out or rent whenever you want. Yeah, I mean, it's a business. Families, you know, retire, you know, having 6-8 Airbnb homes because they're making their money work for them without staying in an apartment.

[Speaker 1] (1:15:58 - 1:16:01)

But that return on investment, really, that they're doing in Bangalore itself.

[Speaker 2] (1:16:01 - 1:16:05)

I think nobody makes money from buying a property and renting it.

[Speaker 3] (1:16:05 - 1:16:07)

It's still, what, 3% rental?

[Speaker 1] (1:16:07 - 1:16:09)

No, short stay. Because it's short stay, it'll be like...

[Speaker 3] (1:16:09 - 1:16:11)

4-5% max. Yeah.

[Speaker 1] (1:16:11 - 1:16:15)

But because Airbnb is short stay, it is slightly more, maybe closer to 8%.

[Speaker 3] (1:16:15 - 1:16:17)

But then you don't have occupancy throughout the...

[Speaker 1] (1:16:17 - 1:16:18)

Yeah, but...

[Speaker 2] (1:16:18 - 1:16:32)

Overall, I would say your returns, even if you say a 65-70% occupancy, I think the returns would be 8-9%. Sometimes 10% depending on the market. Because it's short-term rental stay.

But in long-term rental stay, it's what you said, between 3-4%.

[Speaker 3] (1:16:32 - 1:16:37)

But if you were to look at the interest rates and inflation right now, you account for those two. That return is negligible or negative.

[Speaker 2] (1:16:37 - 1:16:37)

No, not in India.

[Speaker 1] (1:16:37 - 1:16:38)

India doesn't know.

[Speaker 2] (1:16:38 - 1:16:41)

Yeah, but your underlying value of the asset is appreciated.

[Speaker 3] (1:16:41 - 1:16:49)

But if you make the assumption that real estate will always keep going up in value, which is an assumption I have not made. I feel like...

[Speaker 1] (1:16:49 - 1:17:17)

I'm not saying it. That's why I'm a dinosaur. I've seen it grow from here, from this thing, to going through the roof.

I never imagined. So I said, you know, if I was Rip Van Winkle, I would have just kept this huge tract of land, forgotten about it, on to sleep, and come back about after 50 years later, and the value would have been exponentially more. There was no need to go all this circus all the time.

No need to do salam to anybody.

[Speaker 2] (1:17:17 - 1:17:20)

That's why I said land aggregators make the most money.

[Speaker 1] (1:17:20 - 1:17:31)

The biggest risk there is, if you come back after 50 years, don't know whether your land will be encroached or your property will be occupied by somebody else or there'll be some other claimants. That's a big risk that you take.

[Speaker 3] (1:17:32 - 1:18:07)

So another point I'll make is, I feel like making money can't be that easy. It's never easy. Like I know in my industry, I've been sitting in front of a terminal for the last 20 years.

Every day, no holiday, all of that. When I look at people who made money of holding land and forgetting, like some farmer bought 20 acres on the border of Delhi at some point of time and left it. Or cryptocurrency, people bought something and forgot about it.

Today it's worth 10,000 times what it was. I don't know if, that doesn't sit well with me. That's how people have made money.

[Speaker 4] (1:18:08 - 1:18:08)

I mean, it's a risk reward.

[Speaker 3] (1:18:08 - 1:18:15)

Very few, few, not few. But it's a risk reward, right? Landowners, crazy number of landowners have made incredible amounts of money.

[Speaker 1] (1:18:16 - 1:18:34)

Yeah, there are also people who have got screwed and encroached. Yeah, that's what I'm saying. I mean, wrong claimants.

Yeah, there are loads of those also, which, you know, that's, I think we were talking about a stat where some, whatever, some percentage of, you know, all litigations in the court system are land.

[Speaker 3] (1:18:35 - 1:18:35)

Yes.

[Speaker 1] (1:18:35 - 1:18:35)

Right?

[Speaker 3] (1:18:36 - 1:18:40)

Yes, somebody was telling me that 70 to 80% of all court cases are land.

[Speaker 1] (1:18:40 - 1:18:43)

Yeah, so it's not, there are many people who are screwed.

[Speaker 2] (1:18:43 - 1:19:35)

It is high risk. Because like you said, anybody can jump and say, okay, I'm this, I own a parcel of this land. If you put a fence or a boundary after your property, somebody can come and break

that fence or, you know, break the boundary wall.

But, so I don't think land prices can necessarily go up or should necessarily go up every single year, right? But if you look at it over a long period of time, and if, I'll give you a couple of examples like that, what uncle was saying, when we started Brigade Towers on Brigade Road, it was 200 rupees a square foot. Today, that same area could be 55,000 rupees a square foot, or even, you know, 60,000 rupees a square foot.

And that's like a 250 to 300x jump, you know. And if you look at the stock market or the Sensex for the same period, it wouldn't have jumped as much. There's another example, since you are in South Bangalore, in J.P. Nagar seventh phase.

[Speaker 4] (1:19:35 - 1:19:36)

Very close to where I live, yeah.

[Speaker 2] (1:19:37 - 1:19:57)

He bought land there, say 50 rupees a square foot. Today, it's 10,000 rupees a square foot. So it's still a 200x jump.

Whereas the Sensex for the same period was probably say in 2000, 6000 or so. And today it's say 80,000. So it's just a 13 to 14x.

So if you look at it over a long period of time, I don't think land will ever decline in value.

[Speaker 3] (1:19:58 - 1:20:58)

OK, so for people like us who didn't have money and very recently came into a little bit of money, actual money, most of it is like virtual. Like if I have to buy a house, I have to buy a piece of land, then I have to construct a house. If my company earns 100 rupees profit, I pay 25 rupees corporate tax.

I'm left with 75. Promoter of that company, I have to take that money out to then buy a land. I pay dividend distribution tax on the balance 75.

Net net, I paid 52, 53 rupees on my profit already as tax before I take out my money. So I'm left with 47 rupees on my 100 rupees of earning. Then I go to a landowner.

He will say, I will not take white money. I want some cash component. Then I have to spend 10 rupees to convert my white money into black money and then buy the land.

And then I start building a house. It's an extreme case. But the taxation problem is here.

[Speaker 1] (1:20:58 - 1:21:25)

But again, you see, now another thing is, you see, now. Nobody takes white. In, no, no, no.

In, in, in land, in actually, now things have changed because the taxation rate itself has become very reasonable. See, there was at once upon a time, there was that expectation to get black money, to get cash. But that all has changed drastically.

And the more the, the white economy that you're in, the better it is. You sleep more peacefully. You do business properly.

[Speaker 2] (1:21:25 - 1:21:35)

So, but at some point, because your money, like you said, it's paper, it's virtual. At some point, don't you want to make it intact? Like your intangible money tangible?

[Speaker 4] (1:21:36 - 1:21:36)

Yeah.

[Speaker 2] (1:21:36 - 1:21:43)

Because it's the, honestly in Bombay, the guys who are buying your hundred crore apartments are all people who made money in stock market.

[Speaker 4] (1:21:43 - 1:21:44)

Exactly.

[Speaker 2] (1:21:44 - 1:21:51)

Private equity guys. So at some point, don't you want to make intangible tangible? Because for me, I'm like, dude, I don't know when the stock market is going to crash next.

[Speaker 3] (1:21:51 - 1:21:56)

But I want to make it tangible and transient. I want to make it. How can you make it transient?

[Speaker 2] (1:21:56 - 1:21:59)

I can buy units in the REIT then. I can buy gold bond.

[Speaker 1] (1:21:59 - 1:22:02)

I mean, the REIT is the best option then at least for.

[Speaker 2] (1:22:02 - 1:22:06)

There it takes care of your liquidity, your transaction costs.

[Speaker 1] (1:22:06 - 1:23:23)

And you get the benefit of. You get a 7% return on a REIT. If you're investing in a REIT, 90% of the income has to be distributed and it's tax paid.

And then unfortunately, it's again not taxed second time. So you get tax paid money into your hands. So when the REIT structure did come in a few years ago into the country, I thought that was the best reform that ever happened for commercial property.

Till then we were doing starter sales of office. And we used to manage. Even today I'm managing about three and a half thousand customers who have invested in me, with me.

And it's like an unstructured REIT. They bought office property only with the intent to get rental income. Of course, they have to go through the whole pain of registration, paying the stamp duty, paying their property taxes.

And then because we manage it as an unstructured REIT, fortunately, they don't have to have that problem of vacancy and brokerage and other things. But that I don't think there's no other company or maybe I don't know whether you're doing that in your company. But what's starter sales?

No, not starter sales. But then managing it as an unstructured REIT where you lease it out and then some lease it.

[Speaker 4] (1:23:23 - 1:23:24)

We do asset management.

[Speaker 1] (1:23:25 - 1:24:28)

And all that. It's very, very few exceptional companies are doing that. And that's a big win.

But it's very difficult, very, very difficult to do it. We've stopped doing it now because it's, you know, it's quite difficult to manage people and everything else. But I believe REIT is something that has changed, is going to change the landscape of office property.

It does three things. One is it keeps your office building intact, keeps it fresh, like how you if you walk into any development in anywhere in the world, either Singapore or Hong Kong or Boston, New York or London, they all, even 20, 30 year old properties look brand new. Whereas here, after five years of you handing over the property, they've deteriorated because of the infighting within the society, the management is not there.

So REIT does help. And I believe if REIT is worked out well, there'll be many, many office properties, parks that will look brand new even after 30 years of their getting ready.

[Speaker 3] (1:24:28 - 1:24:29)

You guys have a REIT?

[Speaker 1] (1:24:29 - 1:24:30)

They do have.

[Speaker 3] (1:24:31 - 1:24:34)

But it's not really taken off at scale in India, right?

[Speaker 4] (1:24:35 - 1:24:36)

REITs? There are three REITs.

[Speaker 1] (1:24:36 - 1:25:01)

There are three REITs now. I think the education, you know, of these buyers and everyone of why the REIT is the more efficient vehicle rather than still owning and saying this is my office floor, I own this floor over here is just starting to happen. And also a lot of the mutual funds and all of that also now, you know, putting in money into that directly.

So, have you seen the last…

[Speaker 2] (1:25:01 - 1:25:03)

It's more institutional than retail, right?

[Speaker 1] (1:25:03 - 1:25:06)

Yeah, everybody's seen the last… Hardly any retail.

[Speaker 2] (1:25:06 - 1:25:07)

Yeah, so it's not very…

[Speaker 1] (1:25:07 - 1:25:14)

Because the investors have really not realized the potential of the REIT. That is not happening. It's happening now.

If you see the last three, four years…

[Speaker 3] (1:25:14 - 1:25:16)

Educate now. Why are REITs good?

[Speaker 1] (1:25:17 - 1:26:30)

So I think everything that uncle just said, which is you get a tax dividend income, you know, constantly. You have the ability to diversify your risk across like a much larger portfolio and not have any vacancy risk that you might have if you own like a single property, you know, a tenant paying that. You have a professional management team that is, you know, managing it and making sure that the asset value of the portfolio continues to increase.

It's growing also because they have to also, you know, continuously buy and acquire new quality assets. If you've invested in a quality REIT, you know that the type of assets coming in also have been vetted and are actually in the, you know, marquee locations that will continuously like grow. So I think it's like get, you know, removing that entire murkiness, entire amount of like stamp duty, things like that, all the taxation that comes with it and the hassle of having to manage it yourself if you're not from the real estate space.

You just, you know, buy that and you can enter as low as whatever it is, right? I think it's like 1000 bucks.

[Speaker 2] (1:26:30 - 1:26:31)

15,000 or something.

[Speaker 1] (1:26:31 - 1:26:33)

Yeah, 10,000 bucks.

[Speaker 3] (1:26:33 - 1:26:35)

So if I buy the embassy REIT, I'll make 7% and?

[Speaker 1] (1:26:36 - 1:27:00)

And the stock appreciation, right, that it might have. Which as a REIT, it's not going to be. It's more of like a steady annuity type of income.

But India will see higher appreciation, I would say, than foreign REITs or like, you know, the US REITs and things like that. And what do you think about fractional real estate? I have the same, I would say that a REIT is fractional.

[Speaker 4] (1:27:01 - 1:27:02)

It's an unstructured way.

[Speaker 1] (1:27:02 - 1:27:55)

But you see, there's one more advantage which Karan hasn't told you. For a developer, see, we need to churn capital. Now, if I have a certain amount of critical mass of office real estate or retail real estate, I take it into a REIT.

Now, I become the manager of that REIT. Like you're the manager of the REIT, that means you're getting a certain fee for managing. I need not be the owner.

Instead of fractionally selling my space to 100 people, what I do is I can sell a certain equity, a certain percentage of that to the public or to the institutions. And as and when I need more and more liquidity, like in a district company, I can keep selling my units. I get my liquidity.

If I don't want to, don't want the liquidity, I keep it. So that for a developer, it's a big advantage as a REIT.

[Speaker 4] (1:27:56 - 1:27:59)

It's like a natural exit. It's a vehicle for exiting.

[Speaker 1] (1:27:59 - 1:28:01)

So like you also have exited.

[Speaker 4] (1:28:01 - 1:28:02)

Yeah, we exit.

[Speaker 1] (1:28:02 - 1:28:11)

I mean, we develop. But the REIT is under your name. Correct.

So you're the manager still. So you, whatever happens, you're still getting a certain fee for it.

[Speaker 4] (1:28:11 - 1:28:11)

Yeah.

[Speaker 1] (1:28:12 - 1:28:49)

So it has a dual advantage. No fractional ownership. If there was no REIT, that was the only way if anybody could participate in commercial real estate.

But I would say with the REIT in place, this fractional ownership is very difficult to manage. You see, we as a company have sold undivided share of... He's like the originator of fractional ownership.

Yeah, but then that's very difficult because what happens is one generation changes, another,

there's a newer buyer. For the first guy who you sold to, you have a relationship. The second guy need not know you.

He would have bought at a much higher price. His expectation on return is different.

[Speaker 2] (1:28:49 - 1:28:51)

And it's quite unregulated right now.

[Speaker 1] (1:28:51 - 1:28:53)

Very unregulated. Very difficult.

[Speaker 3] (1:28:53 - 1:28:55)

See, you make a JV for each property.

[Speaker 1] (1:28:56 - 1:31:19)

That's what these guys are doing. It's not a JV. When you're selling, you're selling to multiple people.

Then what happens is since everybody has bought it with the intent of leasing out, you are again leasing it back from them and releasing it to the end user. So we make a sort of arbitrage on that. But what we do is we manage the whole system.

We manage the system in terms of making sure there are no vacancies. If there's a vacancy, we make sure that we fill up the space almost immediately. And if there's a hit, we take the hit.

So what happens to our original investors, they are very comfortable. Listen, I invested X, I'm getting so much and my money is growing. And then whenever I want to sell, obviously property value has gone up and I get some return on capital also, apart from getting the monthly income.

So it's a win-win for them. It's only again, it's a huge amount of managing people. If you have the right mix of customers, right mix of people, it goes on smoothly, goes on well.

Like during COVID, there were many vacancies. My finance guys came and told me, sir, we are not getting any rent, there are vacancies. What do we do to all these outflow that you have?

I said, keep paying. Moment you stop paying, there'll be panic because the people who have invested are actually invested, I know for a fact that some are only living on that, their livelihood is running on that. Moment you stop the flow, there'll be such a big panic, each one is going to come and create a scene and they'll be really in sort of panic mode as it is this panic going on for lives and this panic will go on for money.

I said, keep paying. So it was a little hole in the pocket, but then when things became better,

rents became better, so I had to tell, listen, we took the hit, so now you can't expect the market rent for us, so we have to make up that deficit somehow or the other. People understand that.

So it's a healthy relationship, but I think in the long term, best is to do a REIT structure, educate people like Karan said and allow them to invest in the REIT instead of institutions, get the retail investors into it, it'll be a win-win. In fact, your REIT value will be much higher.

[Speaker 3] (1:31:19 - 1:31:24)

Like Strata is a fractional real estate company, is there some regulation that has come out that allows that?

[Speaker 2] (1:31:25 - 1:31:34)

No, no. So SEBI has come up with a small and medium-sized REIT and I think it's to get, because fractional ownership guys are still in the so-called unregulated space,

[Speaker 4] (1:31:34 - 1:31:38)

they want to get these guys

[Speaker 2] (1:31:39 - 1:32:03)

into the SEBI regulation so that they can now monitor and have similar structuring, like the sponsor cannot be the same as the manager in terms of facility managing the property, 90% of the asset has to be leased, all that structuring is going to come through which wasn't there for a fractional ownership REIT.

[Speaker 3] (1:32:04 - 1:32:13)

Would you bet on that business model today? Because then I can pick, I want a part of UB City versus a REIT which has many properties.

[Speaker 2] (1:32:14 - 1:32:16)

Yeah, it'll be single property-based.

[Speaker 1] (1:32:16 - 1:32:24)

I wouldn't because you've still been limited to one asset versus in an actual REIT, you know, I'm distributed across geographies.

[Speaker 3] (1:32:24 - 1:32:29)

It's a bit like buying a mutual fund and buying a stock? It's, yeah, yeah, obviously.

[Speaker 1] (1:32:29 - 1:32:32)

To some extent, yeah. Very nicely analysed.

[Speaker 3] (1:32:32 - 1:32:35)

Some people might want to buy stocks. Only, no, no, I like this talk.

[Speaker 2] (1:32:35 - 1:32:39)

That's same as Strata then, right? Then you might as well just go, if you like a certain building.

[Speaker 3] (1:32:39 - 1:32:42)

But I can't buy the entire company of which I'm buying one share.

[Speaker 2] (1:32:42 - 1:32:47)

Yeah, but what I'm saying is, but if you like that particular building, but yeah, you're talking about U-Nets.

[Speaker 1] (1:32:47 - 1:32:58)

Would you invest in like a much smaller business or would you invest in like, you know, a large diversified business? I think it's less about... He's analysed it, no?

Mutual fund versus a particular stock.

[Speaker 3] (1:33:00 - 1:33:59)

If I'm so confident that the price in UB City will go up 80%, whereas Bangalore commercial will go up 20%, then maybe I want to take a punt on UB City. Possible, maybe. Do you think, like fractional real estate, I was talking to Venkat, I called him up today in the morning and I was like, tell me some questions to ask which are non-obvious.

And he was saying, in a few years, all real estate will become so commoditised that four walls will be four walls and they're similar to four walls that real estate will become about services as a play. What do you guys think about that? Like it'll be, okay, there is KFD.

It won't be about the four walls that I live under, but it will be about, do you add a mall which is attached to this? It'll become about the movie theatre which is down. It'll become about the badminton court, about maybe a event.

The facilities.

[Speaker 1] (1:34:00 - 1:36:12)

I mean, I would say that where we are as we work and like what we are seeing has in some way, shape or form already happened in commercial real estate. Where commercial real estate is very different from residential. It's basically just plain floors, okay.

Residential, you still have, you know, design and people have designed homes and things like that differently. But office is largely commoditised at that grade A-ish level where most assets are similar. There might be change of floor plan and things like that.

Companies or people today are so focused on the human experience that they're having in the space. That we see like operators and service, you know, a service layer, hospitality layer on top of it is becoming like a driving factor. And we're doing it even on the traditional side, you know, within our parks to have community engagement events, to have F&B spaces, to, you know, we do our own property management also so that adds that service layer.

So I think it's definitely, you know, something where if I'm coming and experiencing that space or I need to live in that location for so long, I want an experience also on top of it. And which is why maybe for the previous question also, you know, like talk about an operating company or like a service layer on top of real estate because I think that's finally where the pyramid is going, right? Is across commercial, across residential, warehousing, data centers, even today.

You have operators across all of these segments and in commercial real estate, maybe what we are doing is an operator, what Four Seasons or Hilton did, and you know, hotels is that, what Manipal is maybe doing in hospitals is that. You'll want a brand, you'd want an experience layer, you want a service level when you come into it. And you'd prefer that over maybe going and trying to do it yourself or, you know, just kind of going with the older models.

[Speaker 2] (1:36:12 - 1:37:25)

Would you agree with that? Yeah, so if I add to that, if you look at it from the residential side, what are people looking for once they come to a builder to buy their home? One thing we're adding is say, we'll do your interiors for you, right?

Because honestly doing interiors in India is not like doing it in the US. In the US, it's like a weekend job. You move, you go to IKEA, you buy your stuff, you do it yourself, and you're done over a weekend.

Yeah, but here it's like I need a plumber, I need a carpenter, I need an interior designer, I need a lighting consultant. Why is it like that? Because it is still fragmented.

It's not very mature. And like I was saying, contracting in the US is a turnkey job. And it's, like you said, it's even more commoditized.

It's all DIY because labor is also expensive. Here, you can afford to pay for multiple people,

people's level of customization is also very high. So the kind of experiences people are wanting is a one-stop shop.

You know, I'll buy from the builder, they will also do my interiors. If I need to resell the apartment, they will also do the rental for me. Whenever I want to resell, they'll manage the property.

If I have a, like this place, if you have a banquet hall, they will service it. I can have my parties there. So everything is becoming experiential.

[Speaker 3] (1:37:25 - 1:37:29)

Will it go much further? Will they do my, will they take care of the tuition classes that my son needs?

[Speaker 2] (1:37:30 - 1:38:18)

We are taking care of enough as builders. But I'm sure that's, see, I'll tell you, when we run some of our clubhouses, right? So in the clubhouses, you have your Zumba classes, you have, you can have yoga classes.

And why not in the tuition also, if required, right? Now, coming back to office, like you're saying, it's more experiential. We all do our own facility management of our properties.

And I'm telling my FM guys, guys, hire some events people into your team. Because office is just not office. People are coming back because of the vibe.

Now, how do you create the vibe? Oh, I need a brewery or I need different kinds of FNB services. I need to provide a link to Uber or Ola so that transportation becomes easier.

I need to have comedy nights. I need to have music nights. And somebody...

So is that a good business?

[Speaker 3] (1:38:18 - 1:38:22)

Because you're saying in the US, everything is turnkey around interiors.

[Speaker 2] (1:38:22 - 1:38:24)

Turnkey for construction. Even for interiors?

[Speaker 3] (1:38:24 - 1:38:25)

Somebody starts it in India? Yeah.

[Speaker 1] (1:38:26 - 1:38:30)

There are players that do it, but it's just, your quality is never...

[Speaker 2] (1:38:30 - 1:38:35)

It's more expensive. Can they do it over a weekend like in the US? No, I don't think so.

Why is that?

[Speaker 1] (1:38:36 - 1:40:20)

Everything is very fragmented. Education of that labor is not there. They don't use...

Indecision. The customer himself or herself doesn't know what they want. So if they are decisive, it's that much more easier, simpler.

But like you said, you see today, even setting a home is just not the four walls. Because that concept of four walls entering the house underneath the staircase, that concept has gone long ago. What everybody looks in for is for experience.

Whether it's office property or for that matter, residential property. Experience in a residential is the open spaces, the landscape, the facilities that you have and the backup services, whether it's interiors or property management. Now see, we got into this property management long, long ago only to make sure that somebody to be a punching bag for the customer.

And today that's become a huge top line business. And more so in office. Rupa very rightly said, we are doing hotelization of all office spaces.

If people are coming back to work, it's because of the activities that we have brought in. It's about... See today, my guys come and tell me, listen, we need food.

We need microbrewery. We need all of it. So that's how people will come in there, not only for the working and plus they're paid well.

So they can spend that money. So that's what's happening today. If you don't have all those facilities, your park becomes a complete flop show.

So it's very important to hotelize the entire experience. And that is getting more and more demanding.

[Speaker 2] (1:40:20 - 1:41:32)

So since some of the skyscrapers, if you go wherever you go in the world, right? All the tallest skyscrapers have... A rooftop bar, like a fancy, fancy rooftop bar.

So when we were doing World Trade Center, it was the first in Bangalore. It was in Maleshwaram

and it was not known for an office destination. People were like, why are you doing office here?

It was the first office building in that location. So the way we sort of popularized it was by creating a rooftop bar called High Ultra Lounge, which we created to sort of position. I mean, of course, World Trade Center itself has its own positioning, but to make it popular with the rest of the city.

Otherwise, only the people who go to office there know about it. Like everybody knows Orion Mall or a retail space because you get a million customers a month. But office, only those 10,000 people who work in a particular space might know it.

So when you do the hospitality element, it pushes it up. It premiumizes the entire building also. So like in the US, right?

Wherever you have a Starbucks, the rental value of a certain neighborhood might go up. In the US, Starbucks may not have similar such impact here. But it's the same thing.

Wherever you have high F&B, lot of, you can add to the premiumization of the building itself.

[Speaker 3] (1:41:33 - 1:41:38)

And people are willing to pay a premium for amenities. Not willing to pay.

[Speaker 1] (1:41:39 - 1:41:50)

Your occupancy, if you don't have it, the occupancy doesn't happen. The client doesn't, the first requirement of the client is, do you have this, this, this, this, this? Only then they lease out the space from you.

[Speaker 2] (1:41:50 - 1:41:58)

Yeah, so new strategies to have the, lease out the F&B first and say, okay, I have these cafeteria guys coming. I have this coffee shop coming.

[Speaker 1] (1:41:59 - 1:42:00)

Then your client comes, so it's not.

[Speaker 2] (1:42:00 - 1:42:08)

Lease out your gym. This is a crash player. This is a gym operator.

And so they get an idea of the positioning and then it's easier to lease it out.

[Speaker 3] (1:42:09 - 1:42:33)

So when I'm in Mumbai, right? Whenever I'm spending time there, I see that all the properties are

from fragmented developers. It feels like only Bangalore developers have been able to go pan-national in a manner.

Whereas Hyderabad ones and Mumbai ones and Delhi ones, barring maybe DLF, have not been able to. Why is that?

[Speaker 2] (1:42:34 - 1:43:33)

So I don't think too many builders have been successful going pan-India. I think. Have you guys gone pan-India?

So we have, we look at real estate as a very regional game because I feel like the further away you move away from home base, more leakages, harder to sort of monitor, harder to sort of oversee. And also each state in India is like a different country. The rules are different and there is a bit of learning curve that happens in each state.

So we have said that we will focus on, say, Bangalore, Chennai, Hyderabad and some of the tier two cities in those markets and try to go deeper, you know, get a larger market share in each. Even the players that have gone so-called pan-India, it's limited to maybe six or seven cities. I don't think you can go to beyond that just because there's a drain on bandwidth, on time, effort.

So I think it's, you can do six to seven cities if you really want to focus.

[Speaker 1] (1:43:33 - 1:43:40)

You can name the players like on, you know, on your hand. Who are they? They haven't, not all of them have succeeded.

[Speaker 3] (1:43:40 - 1:43:47)

You should talk about it. Is it a factor of who knows which politicians? You need to know so many to be pan-India?

[Speaker 1] (1:43:47 - 1:43:49)

Not really. I don't think so. Not really.

[Speaker 3] (1:43:49 - 1:43:52)

You have to have the execution capability, right?

[Speaker 1] (1:43:52 - 1:46:31)

It all depends on your access to land. Yes, very rightly put, my Nirupa is every city is a separate country. When I go to Kerala, I said this is a separate country.

When I go to Mumbai, it's a separate. If I go into Chennai, the whole nuances are very different. Hyderabad nuances are different.

But, you know, we have moved away from tier two cities. I've done work in Mangalore. Yes, it's a lovely city.

Yes, it deserves some good buildings, developments, all of it. But the overall appetite market is too small for the type of effort. Effort is the same from licensing to execution to delivery to marketing.

The effort is all the same. But you don't get the volumes. Now, if you go into the larger cities, the metro cities, so we've also restricted ourselves to Mangalore, Chennai, Hyderabad, Mumbai, NCR.

Now, these are the places where the demand is real. It's always evergreen. There is a requirement that comes in all the time.

And even the pricing and everything else can be balanced. Yes. Now, the only thing is you have to learn the nuances in those cities.

You need not know any politician or an official, but you really need to know your business. You need to do a proper market study and say which micro market at what price your product will sell. And you should be fortunate enough to be able to access land because land is a raw material for all of us.

Now, if you don't get land or not, don't get land at the right terms. I mean, I'm not compulsive. There's no need for me to do business for the sake of saying I exist in so and so place.

Like you've gone to Mumbai recently. Yeah, it has to make financial sense. In fact, I see for me also, it's not something that I can boast and say, listen, I'm too intelligent.

I went to Mumbai. No. What happens is we started, OK, there's some person who we knew who really said, OK, I've got this project here in such a prime location.

He was my customer in one of my apartments here in Bangalore. And then he came and did his sales pitch. Then we looked at it.

Then we thought that, OK, this is doable. It was 300,000 square feet in a Pali hill in Mumbai. And we thought that we can't go wrong there.

I said, even if we go wrong, it's not going to be a big hit. So we started looking at it small. So we with a lot of trepidation, a lot of debate, a lot of thought process, we committed.

And it was a redevelopment. So really, the amount of capital that had to be deployed wasn't that

so much that you really could have to puncture a hole into it.

[Speaker 3] (1:46:31 - 1:46:33)

Can you explain, uncle, briefly, what is redevelopment?

[Speaker 1] (1:46:34 - 1:49:04)

Redevelopment is an existing old building where the building has become old. The existing people who are the owners of that particular development, they call it society in Mumbai, they want a newer place with that much more bigger facilities. And probably, since the FSI has changed, they'll get that much more built up area extra.

So that's how the redevelopment starts. So more apartments, more square footage, and most importantly, is better plumbing, better lighting system, better vertical transportation and better parking. So, of course, the quality of life improves, better facilities also.

And by being there as the old society, they get that incrementally higher square footage, which either they can sell back to the developer or keep it for themselves. They get a slightly larger home. Like when we did that redevelopment in Mumbai, I'm not giving one for one and nobody is really.

So it has to be one four into 0.3 or 0.4 or 0.5 times more. So if I got a 100 square meter house, if I get 130 or 140 square meter house, my house is going to become a little larger. It's going to become newer with better finishes and better fittings.

And obviously, what happens is the other, the sweetener is while this is going to get built, I get my rental, I move into another alternate accommodation. The builder pays the rental and the rehabilitation cost and all that. And they come back.

The only thing is they have to have the confidence in the developer that he takes it up and completes the development within the stipulated time as per the specifications. I have seen, in fact, I have picked up subsequently, many deals have come to me where these redevelopment projects have started and they've not fructified. And now we've gone there like a white knight and tried to save a lot of things.

So one project led to the other, to the other, to the other. And now I'm doing some few million square feet, six million square feet plus of office and a few million square feet of residential, which I never imagined that I could. I have to pinch myself every time to remind myself, am I really doing this?

But it is the most difficult territory to operate in.

[Speaker 3] (1:49:04 - 1:49:04)

Why is that?

[Speaker 1] (1:49:04 - 1:49:34)

The laws are different. The premiums are different. The approval fees are all huge because unlike in Bangalore, we are like innocent children here as compared to there.

You see what happens is there's some base FSI. You have to learn the tricks of the trade and that base FSI there is either 1 or 1.25 from there it starts. Then everything else that you build on has to be paid for, whether it's premium FSI or whether it's TDR. And this is an industry, right?

[Speaker 3] (1:49:34 - 1:49:35)

Buying FSI and selling it?

[Speaker 1] (1:49:35 - 1:50:46)

All that is in Mumbai. It's a big industry. Not only TDR, it's also the municipality gets huge.

That's what I was trying to tell our authorities here. You do this premium. What happens is you're not doing it for yourself.

You're doing it for the city because when you're selling premium FSI, what happens is the local body gets a whole lot of money. Today, the Mumbai municipality is the richest. They get tens of thousands of rupees as fees and that is ploughed back into the infrastructure.

Today, if you've got a sea link road or the other expressways and everything else and that's so many X amount of flyovers, it's not that they've gone. Okay, they may be having a certain proportion of loans, but the rest of it is all coming from the money that is generated from all these approvals. Here they have not learned the game.

This is a golden opportunity for you. You make it viable. You will get crores of rupees as money for your municipal body, local body.

Then you don't have to go with a begging bowl and you do apply that money sincerely onto infra.

[Speaker 3] (1:50:47 - 1:50:53)

So, it becomes a win-win. So, if two things for the government people watching, two rules they can change in Karnataka.

[Speaker 1] (1:50:53 - 1:52:58)

Karnataka, simple thing is I think they are doing it and they should do it quickly is streamline your TDR rules. Issue, you see the issue TDR is the fellow who's losing land instead of getting money

is gets a piece of paper which is two times the value of his property. It's now linked to guideline value.

It's a windfall according to me, the land loser and he should take it gladly. Only thing is product should be marketable. Now, where the land loser lost confidence is in between like Nirupa said eight years it's in limbo because of some stupid thing that happened and it's now still in limbo.

But if they make that product marketable, if they allow the buying and selling of it once the TDR is issued do it sincerely. Give it as already the rules are there one is to two times and issue the TDRs as quickly as possible. Lot of land can be sort of acquired for road widening or for any public purpose or whatever else.

The second thing is bring this premium FSI. Now the debate was always they say no, no if I bring premium FSI TDR will be hit or if I bring in TDR premium FSI won't sell. I said man let the market forces decide that.

Premium FSI is also based on the guideline value. So, there's not much of a difference. So, basically okay they said 0.6 times of the base FSI whatever is there in that area you can either load now I gave them a formula either load TDR and premium. So, I said do it as 0.3 times premium 0.3 times TDR do a blend of both or 0.2, 0.4 whatever or just leave it for market forces just say 0.6 times either use TDR or premium things will work and you know the municipality will have a lot of money in their hands they'll get liquidity. You see till you don't do it you don't know what the benefit is. Once you do it then you know the benefit and the pleasure that comes.

[Speaker 3] (1:52:59 - 1:53:59)

Very interesting. Another thing innovation in real estate first principles. How an apartment is today I was reading this book Bill Bryson Home I don't know if you guys have read it he talks about the evolution of home how we got a toilet how we got a dresser for the first time how did we come up with the concept of a bedroom which is different from a living room why do we have a living room if one were to extrapolate and say the last real innovation in real estate from a structural lens maybe carbozier apartment complexes why has nothing changed beyond that why do we still live in homes with a living room a dining table a bedroom a bathroom and a kitchen all bifurcated with walls why is that? What would you want?

It could be anything right? I think a home is like

[Speaker 1] (1:53:59 - 1:54:44)

just it's that Maslow's hierarchy of needs right it's like solving for a very basic primal type of need which is just security feeling safe feeling like you know where you have when you come back from the outside world that you have a sense of security safety so I would say largely it's across cultures very similar if you see Japanese interior architecture to Indian to you know something in

the west I mean the fundamental things are always taken care of I want to cook somewhere I want to have somewhere where I can put my head down I need to you know use the toilet now there are different sizes formats and things of that but it's just about that security I feel

[Speaker 2] (1:54:44 - 1:54:50)

post covid you have a new room for offices but there are some yeah but there are some sorry

[Speaker 1] (1:54:50 - 1:54:53)

I said I hate that there are some

[Speaker 2] (1:54:54 - 1:55:34)

innovations in the sense like we're talking about homes for the millennials and the gen alpha or whatever who don't want to cook as much right so then I feel like it's going some of these places where it's no kitchen built to suit no kitchen there's a communal kitchen because people want people are lonely right with their as and when technology is seeping into our lives they're getting more lonely so they want to now create communal kitchens so that they know their neighbors otherwise many times people don't even know their neighbors but in terms of apartment in terms of living room kitchen all that I think it's still very much required people want that privacy versus can't it change it can and I think it will

[Speaker 1] (1:55:34 - 1:57:12)

over time like she said first of all like kitchen has become like getting more and more like redundant the more and more the youngsters will say man why the hell should I why should I cook okay some people love cooking some people just delve into that again it's about creativity you love painting you love doing something as you love cooking but otherwise generally I would say the everybody so busy in their lives they'll say listen man if it's a small little space where you can heat up something or whatever else so even I question this you see now our architects used to design every bedroom has to have one toilet now in the 80s when I went to UK in a in a in a what I would call not even it's even a row house there used to be only one toilet and two bedrooms or three bedrooms and here we are supposed to be a very poor society we can't afford and our homes are so what we are we're used to I said man if you have a three bed why is it necessary to have three toilets have two three bedrooms and one toilet make the bedroom slightly larger make those two toilets I mean one could be a common one one could be where the where the owner of the house or the boss of the house sleeps so that we changed that concept what it did is it brought made the house slightly more smaller but more usable now if you remove off basically what you want a home for you want to get in you want to have a nice comfortable bed you want a nice comfortable toilet that's that goes

[Speaker 3] (1:57:12 - 1:57:13)

is that what you want from a home?

[Speaker 1] (1:57:13 - 1:57:29)

Sir for me the most important thing in any home is you have to have a comfortable bed and a good toilet but that's what I was saying what's changing now is lot of my customers want that balcony they want some space where they can go out especially in Bangalore

[Speaker 4] (1:57:29 - 1:57:30)

yeah

[Speaker 1] (1:57:30 - 1:57:52)

so that's a big difference yeah especially in Bangalore because the weather is so good but in a very probably crummy weather you wouldn't want a balcony at all because you can't step out on it if you go into a Dubai which is 52 degrees what will I do with the balcony? but here we stopped doing the balconies because again it was about the size of the house

[Speaker 4] (1:57:52 - 1:57:53)

for me

[Speaker 1] (1:57:53 - 1:58:38)

as I said it's the size of the house not in terms of pricing but in per square foot but in the overall ticket size of the house so the balcony came that means so many more square footage and buildings so that will charge the customer that much more yes it will evolve now I don't know whether you need to have a separate living room and a separate diving room it could be one composite space which can be used for double up as both it's more so I want to invite some friends home guests home but then if I'm not cooking at home the question of entertaining them at home unless I'm catering it from outside unless I've got somebody else to come and get the food and cater it you see today you swiggy it or you whatever else you do it comes in minutes

[Speaker 2] (1:58:38 - 1:58:44)

another trend with the luxury homes is the two kitchens right the show kitchen for the guests

[Speaker 4] (1:58:44 - 1:58:44)

and then

[Speaker 2] (1:58:45 - 1:58:49)

one for the staff or if you're catering a lot for the caterers to come

[Speaker 3] (1:58:49 - 1:59:32)

what do you think is working more in society today say his dad is projecting x your dad is projecting y like I have this really favorite philosopher psych psychia psychiatrist his name is Jung he says that we are all like wine we are a vintage of the year that we are born in and hence what we believe in changes like Irfan uncle believes in a certain thing because he was born on a certain year I was born in 86 so I believe in some things about life so does Karan and so do you what kind of projection is working as a factor towards for the lack of a better way of putting it getting more deals done today

[Speaker 2] (1:59:33 - 2:00:32)

so I think there's no right or wrong according to me there's no right or wrong I think the way his dad is is a reflection of his personality and the way my dad is is a reflection of his and that could be because of how like you said they've been brought up or the value system of the family etc now I think the way you run your company will also attract certain kinds of investors okay or home buyers like everybody has a reputation in the end you know it is some people will look for certain attributes from a customer perspective okay I'm putting my life savings you know I want to go with a reputed maybe conservative builder but if it sometimes if you're looking at a more luxury product or if you're looking for different aspects so I just think whoever you are will attract different segments and different kinds of investors also maybe certain things are risk-taking is associated more with say flashiness for some some cases so you'll attract a different type of investor and customer

[Speaker 1] (2:00:32 - 2:00:54)

I think that's true I mean it's also who do you want to partner with right like I will if I'm maybe up against someone super obnoxious or you know extremely flashy I will automatically retract and not try to try to avoid partnering with that person at you know at maybe like all costs but there are some people who are attracted by that

[Speaker 3] (2:00:54 - 2:00:55)

than some people

[Speaker 2] (2:00:55 - 2:00:59)

like your dad was able to handle Adam Neumann like not everybody can handle an Adam Neumann

[Speaker 3] (2:00:59 - 2:01:05)

tell us more about Adam Neumann so Adam Neumann stayed with Karan in their house for a week

[Speaker 1] (2:01:06 - 2:01:09)

I mean I won't say too much but

[Speaker 3] (2:01:09 - 2:01:13)

his new company is kind of bringing together home in a different manner right

[Speaker 1] (2:01:13 - 2:02:17)

yeah adding a service layer or like a brand or trying to add a younger brand maybe to residential real estate in the US and you know leveraging technology and doing all the engagement stuff that we spoke about Adam is I would say the greatest salesman in the world that's what I was you know telling you as well where he had it's one of those few people that you meet I think like in the world where you can feel the energy like you know from having a conversation with him or you can you know you can you can feel that there's like some amount of uniqueness in that individual and there's you know I think his ability to think huge and actually take that risk was something I had never seen in many you know people and got to meet a lot of people of like that caliber I would say so very few have like stuck with that nature but

[Speaker 3] (2:02:18 - 2:02:21)

do you find similarities between your dad and Adam Newman?

[Speaker 1] (2:02:22 - 2:03:58)

I think so I mean he also is a risk taker little bit from a risk taking perspective 100% 100% and he's good at sales like a visionary good salesperson also definitely inherited past now to you and your brothers I don't know some I would say split amongst three of us I think Who got what? Who's the biggest risk taker in your family? I would say that's still me I feel on the risk taking side you know on the storytelling side maybe my youngest brother is like you know has that humor and that ability to build a quick relationship I think my middle brother is like a lot more structured Aditya is like a lot more structured and like process driven so I would say it's split I don't think either any of us have got all of the qualities qualities in like one yeah and I don't think that'll happen and our mom has actually influenced us a lot as we were growing up you know we actually grew up with I mean my parents got divorced when we were like you know 16 so a lot of our upbringing was actually also with my mom so our real like experience or at least mine and Aditya's real experience with my dad in a close proximity has been like post college more from a work work environment not that it wasn't there before also but I would say real close quarters and like learning and all of that would probably be in the last like 10-15 years

[Speaker 3] (2:03:58 - 2:04:01)

How is the relationship between you and your sister?

[Speaker 2] (2:04:02 - 2:05:04)

Sister's very good I think when we grew up this regular fighting over who has control over the remote what do we watch all the silly stuff who goes to the bathroom first but I think from a work perspective we went to the same colleges in the US somehow I just older sister so I just had to follow her footsteps for the most part till grad school but I think work-wise touch wood we haven't had any sort of arguments in all these years but I also think that's because we have completely different domains she doesn't get involved with what I do and I don't get involved what she does but we have a need to know what's happening in both the spaces but yeah right now if there ever was something couple of times when there's been a decision that both of us have an opposing view we just have to go talk to my dad and he sort of sorts it out and I think going forward it will rest with us to have the emotional maturity to make sure we resolve it in a amicable way for a lot of women

[Speaker 3] (2:05:04 - 2:05:37)

who are watching this show gender roles in society have changed today drastically man is no longer the provider woman is no longer the comforter or the way in which each partner used to compromise has changed flipped for somebody who is an operator of a company as large and successful as yours Is there a burden borne by your marriage in some way?

[Speaker 2] (2:05:43 - 2:05:45)

What burden are you referring to? The switching of the roles?

[Speaker 4] (2:05:46 - 2:05:46)

Yeah.

[Speaker 2] (2:05:46 - 2:06:54)

It's not easy. To some extent. See, if I had another…

If my husband was also heading a large public listed entity, I'm not saying the marriage would sort of suffer for it, but maybe the children would. Because both of us travelling, both of us not being there, I think the children would suffer. So right now, I think…

See, in many marriages, the woman is taking like 80-90% of the household burden. And the kids, and the work, and everything. I think initially when the kids were young, it was still…

I was handling it. But now, after being married for almost 14 years, we've had to sort of divide up the responsibilities and it has to be 50-50. I cannot.

I'm not able to. If I have to travel for roadshows, I have to go. If I have to travel for conferences, I

have to go.

But we try not to both go at the same time. So there is a give and take. I can't be like my career is more important than yours because everybody has a role to play and everybody has something they feel that they need to contribute to this world.

And just larger doesn't mean more important also. You know, just because my husband is…

[Speaker 3] (2:06:54 - 2:07:04)

Not to you guys, but you live in society. And society projects their opinions either vocally or subconsciously, one way or the other.

[Speaker 2] (2:07:05 - 2:07:31)

So no, I mean, no opinions given to my face. But I would have to say that my husband is probably one of the most secure men, Indian males. Because at some point, I mean, it is a known fact that probably, obviously, he's a single entrepreneur.

This is a publicly listed entity. Yeah, I probably make more than him. So not many men would be comfortable.

It takes a very evolved and secure person to be comfortable with it. And I happen to have found one of them.

[Speaker 3] (2:07:31 - 2:07:35)

I've met him. Great guy. And you guys do all these like healthy things together.

[Speaker 2] (2:07:35 - 2:07:47)

We used to. Trathlon, run for 40 kilometers. Our first date was playing basketball together.

So I think there was a love for sport that was there. But he doesn't…

[Speaker 4] (2:07:47 - 2:07:47)

Who won that?

[Speaker 2] (2:07:49 - 2:07:54)

You really have to… Is that important? The important thing is we went on the second date.

[Speaker 3] (2:07:54 - 2:08:01)

She cycled like some 100 kilometers, ran for 20. What is that competition? Ironman.

So that's the Ironman. You did the full thing, right?

[Speaker 2] (2:08:01 - 2:08:02)

I did the full Ironman.

[Speaker 3] (2:08:02 - 2:08:04)

Swimming, cycling and running.

[Speaker 2] (2:08:04 - 2:08:51)

How much of each? 3.8K swim, 180K bike and a 42K run after that. And you have to do it within a certain time period.

In my race, it was within 16 hours or so. And going back to your original first question, right? Like this thing of being given things on a silver platter.

One of the reasons I'm into fitness is because fitness can't be given to you. It has to be earned. And nobody can take it away from you.

Nobody can say, Oh, she became an Ironman because she's her father's daughter. You have to work hard for it. And it comes with certain characteristics, right?

It comes with, okay, I'm not disciplined all the time. But during that training time, I had to be disciplined. I had to work hard.

I had to have good time management skills. I had to give up a lot of fun things.

[Speaker 3] (2:08:51 - 2:08:54)

Only because you're such a good friend of mine, I'm going to push you a tiny bit.

[Speaker 2] (2:08:54 - 2:08:54)

Sure.

[Speaker 3] (2:08:55 - 2:08:57)

Do you know when you feel strongly for something?

[Speaker 2] (2:08:58 - 2:08:58)

Yeah.

[Speaker 3] (2:08:58 - 2:09:01)

Of all the things we've spoken about, you brought this up.

[Speaker 4] (2:09:01 - 2:09:01)

Yeah.

[Speaker 3] (2:09:02 - 2:09:09)

And when you're feeling about what you're talking about, there's a tiny tinge of an accent. Tiny tinge of a? Accent.

[Speaker 2] (2:09:09 - 2:09:09)

Accent?

[Speaker 4] (2:09:10 - 2:09:12)

Like what? I just heard it.

[Speaker 3] (2:09:12 - 2:09:16)

But why did you bring this part up amongst all the conversations we had till now?

[Speaker 2] (2:09:17 - 2:09:37)

Because it tied back with what we spoke about first. But because I'll tell you, it has become a part of my identity almost. Because I go around talking about it so much and it's become a part of my identity.

And it's something I sort of had to fight for because What has become a part of your identity? This becoming a triathlete. It's very much part of my identity now.

[Speaker 3] (2:09:39 - 2:09:44)

And Is it also because it gives you validation in a domain where your family does not exist at all?

[Speaker 2] (2:09:44 - 2:10:27)

Yeah, possibly. It's my space where I'm not, you know, I'm not riding on the coattails or success of my father. And it has everything to do with my abilities and qualities and nothing to do with anybody else.

And it goes back to the original thing of wanting to prove yourself sometimes as worthy of being in a certain position and a certain level. So it does. I've also thought about it a lot.

And also, sometimes people have sort of said, Oh, where does she have time to? Like I've been

spoken to in public settings, you know, where do you have time to run your company if you're running in the park all the time? So I have to come back and be like, I run way before you wake up.

[Speaker 4] (2:10:28 - 2:10:29)

So don't worry about it.

[Speaker 2] (2:10:29 - 2:10:40)

But yeah, I felt like I had to fight a lot. I know what I went through to do that. You know, it's you have to give up a lot.

And then even my dad would be like, focus on your work. Why are you spending time on triathlon training?

[Speaker 1] (2:10:41 - 2:10:42)

That he must be more worried for you.

[Speaker 2] (2:10:43 - 2:10:52)

Yeah. Came out of concern. I don't know.

But of course, now, you know, he's happy about it. But there were a lot of ancillary benefits, even from a work perspective for me. Because of that.

[Speaker 3] (2:10:53 - 2:10:57)

Unfiltered. What do you dream about? You don't have to be so unfiltered.

[Speaker 2] (2:10:57 - 2:10:57)

Professionally?

[Speaker 3] (2:10:58 - 2:10:59)

Yeah, professionally.

[Speaker 2] (2:11:00 - 2:11:45)

I'll keep it to cross the sunset board. I have two dreams, actually. You know, I have two dreams.

One is, of course, on a professional side. I'll talk about it from a professional side. One is, of course, taking this company to being not just, you know, big.

I don't know. Biggest is my dream, but definitely the best and how we can go about doing that.

But sometimes I also wonder, you know, at the end, it is, you feel like you're on a hamster wheel.

It's quarter to quarter, year on year. It just never stops. You know, every day, it just never stops.

And I'm like, at the end of it, what is the purpose to all of this? You know, getting a little philosophical.

[Speaker 3] (2:11:45 - 2:11:45)

What is it?

[Speaker 2] (2:11:46 - 2:11:58)

So, I have thought about that a lot too. And I've realized that the purpose of life is that there is no purpose. It is whatever you make of it, right?

There is no purpose to life.

[Speaker 4] (2:11:58 - 2:11:58)

Nihilistic.

[Speaker 2] (2:11:59 - 2:12:06)

Yeah. You wanting to be the biggest is okay. You not wanting to be the biggest is okay.

Inherently, we all want to be better than our peer group.

[Speaker 3] (2:12:07 - 2:12:08)

In whichever way.

[Speaker 2] (2:12:08 - 2:12:10)

But that is to satisfy the ego.

[Speaker 4] (2:12:10 - 2:12:10)

Right?

[Speaker 2] (2:12:11 - 2:13:32)

Like, if you let go of everything, and you really think like, what is important to you? So, I actually listed out a few things. I said, okay, how do I spend my week?

What is important to me? Who are the people important to me? I think we all finally drill it down to, boss, if the relationships around us are not okay, like parents, kids, two, three close friends,

siblings, we are not okay.

I don't think we'd be happy people. We'd be… I don't think success can come at the cost of, say, relationships.

But when I was drilling down my week, I realized that the time I spend with my kids is 12.5% of my week. Which is a really small amount for how important they are to me. So, it was almost inversely proportionate.

Like, the amount of time I spend with my mom and my dad and my kids is inversely proportionate to how important they are to me. So, I was actually thinking, you know, is this… What is the purpose of what we are doing all the time to be on this treadmill and not have time for the people we love the most?

So, sometimes I'm like, you know what? You should just go and be on a beach and just relax with the people around you. But that is…

But I don't know if I'd last too long there. Because inherently, I am also very competitive. I am ambitious.

So, yeah. So, for me, for the company, right now it's only growth. We're thinking of growth.

But sometimes when it gets a lot, long days, you don't see your kids for a while, then you think, hey, are we on the right path?

[Speaker 3] (2:13:32 - 2:13:34)

And you keep flipping between that and this.

[Speaker 2] (2:13:34 - 2:13:43)

There's no choice. I'm on this path. I've chosen this path and this is my path.

But it's to keep understanding what is important and coming back to what is important.

[Speaker 3] (2:13:43 - 2:13:44)

Very honest and nice.

[Speaker 1] (2:13:44 - 2:13:47)

No, very correct. I mean, all your thoughts are very relevant.

[Speaker 2] (2:13:47 - 2:13:49)

Very true. Right.

[Speaker 3] (2:13:49 - 2:13:51)

You guys want to take a break before the next part? Yeah?

[Speaker 1] (2:13:51 - 2:13:54)

No, I think now I have to run.

[Speaker 3] (2:13:55 - 2:14:26)

Whenever you run, we'll continue, uncle. Yeah? Yeah, yeah.

No rush. A few moments later. Okay, we're back.

Yeah? Started? So, Irfan uncle, I wanted to ask you first about malls.

You guys started Forum Mall where I used to go in Kormangala back in the day, the only place with a PVR theater. For somebody starting off in the real estate industry, can you explain the financials of a mall? Does it make sense?

How important is a multiplex to a mall?

[Speaker 1] (2:14:29 - 2:22:13)

See, apart from the financial sense, as I said, the creativity is what gets us. I, in one of my holidays, traveled to South Africa, Durban, Cape Town, all these cities, and I saw these small-size malls where you had the multiplex on top, even got the good fortune of even going to cinema there. And overall look, feel, the entire size was looking to me as very doable in our country, in our cities, rather than what malls you used to see in the US.

Of course, Dubai didn't exist at that time. So, one thing led to the other. Came back to Bangalore, I had tied up this land next to my prestige acropolis where I had signed up with them to do either an office space or to do one more residential development.

And those days we had what is called the Urban Land Ceiling Act. Can you explain what that is? That is promulgated by Madam Indira Gandhi those years to say anybody who owns more than thousand square meters of land had to surrender that land to the government.

That was excess land. Okay, there were so many exemptions. Either you got exemption for group housing or pertinent land.

So, a lot of people got exemptions, but then it used to be a very, very difficult and very tough one to do any large or imaginative project. Just things being whatever, one day they decided that this was a draconian law and really did not lend itself for development. They abolished that act.

So, it was there from 1976 to about 1999, almost 20 years plus the act was there. And then the stunted growth cut to that late 90s. The Urban Land Ceiling Act got abolished.

Once that Urban Land Ceiling Act got abolished, suddenly we were like prisoners out of jail. We became, we could sort of imagine anything and work out something. So, I went back to my landowners.

I always had this desire. Contrary to my, like you said now, difference of opinion. My brother always was against it.

No, it won't work in India. Our people are very different. They won't know how to use it.

I don't know whether revenues will come. And I was like hell-bent on doing it. So, in fact, he even brought a real estate professional, CBRE, who said, Sir, I'll lease this.

You build an office space here, I'll lease it out for you almost instantly. I said, I've done many office spaces, but I don't want to do this. I want to do a mall.

Fair enough. We deployed the architect, gave the briefing, and sometimes, you know, when some good wins over, or a good idea wins over, not such a good thing. So, we went ahead.

That's one great thing about us, there's no, finally, it had to go on. There is support. So, we got the architect, got him to design it, and then finally we discovered that you can't build a multiplex on the upper floors of a building.

It had to be only on the ground floor. Then the next journey started. It was, I know, during Mr. Krishna's rule as a chief minister, we went to them, cinematographic act has to change, the whole world has changed, there are multiplexes coming up everywhere, and you can't have the prime, because when my architect gave me the first design, the cinema was on the ground floor. I was aghast. I said, how is it that you guys have put it on the ground floor? This is the most premium space.

Then he said, sir, please read the act. When I read the act, the rules, I said, okay, we'll have to have this, the rules rewritten. So, fortunately, we had a government that was a little proactive, that listened, and then they asked us to write down the rules, frame it the way, and today the rules in the cinematographic act, what is there, are the ones that is written by us, except that when they brought the draft rule again, instead of writing multiplex, they had written IMAX.

Then again, I had to beat my head on, I said, no, it's not IMAX. IMAX is a projecting system, and multiplex is a group of cinemas. So, got that also done.

In the meanwhile, I had got my plan approved as auditoriums. The law did not sort of stop us from getting auditoriums done. An auditorium can be a place where you could have meetings, or you could have had weddings, or whatever else, but as far as cinema was concerned, you

couldn't have it.

So, we went through that process, got those changes done in the law, and then of course, we got some external consultancy, we got an architect from the US who came and gave us the overall thing. And at that time, this PVR was chasing me. He came to know that Prestige is going to build a multiplex in Bangalore, and then he sent a missile to me, an emissary, and then we started talking.

You ask me what is the return? In a small, I think if you do it well, you'll get an 18-20% return on your investment. After that?

Yeah. If you don't get that, there's no sense in doing it. And if you manage it well, you can probably do much better.

But we honestly didn't know what was going to hit us. So, we opened this mall in the year 2004, February 2004. Unfortunately, I would have been happier because I lost my dad in January 2004.

So, my dad would have been the happiest. That day when I gave a speech also, I said my dad is somewhere looking from top. Just about a month later, we opened that mall.

The cinemas opened in August. We, honestly, we did not know what hit us. We used to get 100,000 people, 70,000 people in a day footfall.

It was madness because people hadn't seen this sort of organized retail. Because initially, they didn't know what a food court, you know, to do a food court, I had to convince internally. I gave that to my brother-in-law.

I said, man, you take the space, you do the food court. But then he said, you know, he was comparing some business, some few thousands. I said, listen, it's something very different.

You haven't understood it. So, anyway, finally we did it. And there's no looking back.

That was, and that to those days, it was just a 350,000 square feet space. That is the leasable space. The rest of it with car park.

Because my first brief to my architect was because I used to suffer, go to a cinema, you never used to get parking. You go to a rec cinema, you have to really struggle to park your car. So I said, first give me the parking, then give me the cinema.

I think, okay, it's 20 years. But you see, there's no looking back. So many more malls in the city got built.

So many more malls in the country got built. It was, it became a sort of a trailblazer. And there are now people who are doing much larger, more bigger formats.

Now the whole look and feel is very different because what was relevant then 20 years ago is not relevant today. Today it's all about experience. It's all about, you know, more food and beverage, more entertainment, and of course a bit of shopping.

Shopping complements it. But then the whole formatting has changed. And now we are building another 10, 11 malls as we go along.

Another 11 million square feet.

[Speaker 3] (2:22:13 - 2:22:18)

Is it for someone starting off a good thing to explore if they can conceive, raise funding and build a mall?

[Speaker 1] (2:22:18 - 2:22:58)

Phoenix has done it. Phoenix wasn't in the radar at all. And they were not retailers.

But they did it. They've got somebody to fund them. And I think they've done a brilliant job.

So I think if you look at the mall operators, it is Phoenix who's the largest today. And of course Nexus is there. They are more financial.

They bought all the, so Nexus is there which is large. Prestige and then afterwards Brigade has also done some malls. That's what I was asking Nirupa.

What made you build the first mall? Maybe a diversity? Yeah.

Maybe some change? I think the operating entity also is very crucial to know, have that expertise of leasing.

[Speaker 2] (2:22:58 - 2:24:05)

I think my dad went to Japan, saw Roppongi Hills, and you know the whole mixed-use township concept. So I think he was quite, he thought that that was the future of cities, right? To create mixed-use townships.

So when he had large parcels of land like Brigade Gateway, which was close to 40 acres on CBD limits, he wanted to recreate like a city within a city. So it had the office, the residential, the retail, the hospitality, a school, a hospital, lake, and social amenities. Amazing.

And I think this concept of live-work play within our cities is probably the future. Because like you were talking about the infrastructure, there's so much of pressure on our infrastructure. Like every two years, Bangalore adds about 800,000 people, which is the size of like a Seattle or something.

So there's no way our infrastructure can sort of keep up with the demands of the people and the population. So I think the future is doing mixed-use townships, you know, like little fountainhead, little idealistic townships.

[Speaker 3] (2:24:05 - 2:24:18)

Now that we have some more moving parts, if I were to start a real estate business, and I had an option between a JD apartment with a landowner, start a multiplex, a hotel, or a commercial real estate project, what would I do?

[Speaker 1] (2:24:19 - 2:24:22)

I would still say, please start with some residential for a start.

[Speaker 3] (2:24:23 - 2:24:23)

Get your money.

[Speaker 1] (2:24:24 - 2:24:25)

Or go into office.

[Speaker 3] (2:24:26 - 2:24:28)

Thank you, uncle. Thank you so much.

[Speaker 1] (2:24:28 - 2:24:30)

We don't want to keep you for any longer. Finished bang on.

[Speaker 3] (2:24:41 - 2:24:50)

Okay. Introduction. Who would like to go first?

You can go first.

[Speaker 2] (2:24:50 - 2:24:55)

Sure, whoever. Age before beauty.

[Speaker 3] (2:24:58 - 2:25:03)

Tell us a bit about childhood, life. How did you come to being who you are today?

[Speaker 2] (2:25:04 - 2:28:32)

So Bangalore girl, born and brought up here. Although my mom is from Kerala, dad is from

Chikmagalur, which is a coffee plantation place. North Karnataka.

Did my schooling here. Went to the US, University of Virginia. Kind of just, I was given one option to go to UVA because my sister went there.

So they were like, this is where you're going. So applied to one college. Did economics there, because I feel like you do economics when you don't know what else you want to do in life.

So economics is the major for the undecided. Yeah, it's got some math. It's got some analytical skills or whatever.

So I did economics. And while I was doing my undergrad, I did a bunch of internships. So PWC in Bangalore, in MNA.

I did Leela Palace, Bangalore. I did some advertising agency. I was just exploring, what do I want to do in life?

And what am I passionate about? And all that. And then got a job out of college with Ernst & Young.

So in the risk advisory business. So spent about three and a half years there in the New York office, DC office. North Carolina office.

And while I was doing that, I worked on, as a consultant, you work on different projects. And I worked on this really cool leveraged buyout. Apollo was buying out Harrah's Entertainment, which was like a huge casino group.

And loved the whole space while I was working on that deal. So I said, okay, let me explore hospitality a little more. I took some evening classes at NYU's continuing school of education and hospitality.

Loved it. Decided to apply to Cornell for my master's in hospitality. Did that.

And at that time when I graduated, it was 2009. I also did a study abroad in Singapore. Because I think Asian hospitality is something very different from Western hospitality.

So 2009, I think there was a financial crisis happening. I think hospitality everywhere was doing not well. Except maybe India, China, and Africa.

And 2009 was the year that we were also setting up our first hotel. And it was very coincidental. My dad didn't say, go do hospitality.

It just so organically happened. Because I think as a family, we always discussed buildings. You go to a hotel, you discuss the building.

You go on our travels, etc. So I just used to think about hotels all the time. So I came back in 2009 to set up the hospitality practice.

And I did that for a few years. Just took one portion of the business. First it was marketing.

Then it was legal and contracts. Then it was data analytics. So organically just grew my skill set in hospitality for about 5-6 years.

Then had my first child. So took maternity leave for 6 months or so. Or maybe 4 months.

And during that time I was like, okay, how do I reinvent myself? Because I delegated all my responsibilities. And then I came up with this concept.

At that time, housing.com was at some $300 million valuation. I think a lot of e-commerce companies were having these crazy valuations. And brick and mortar businesses like ours were with tangible assets and profit making had lower valuations.

So I realized at that point of time, we need a play in tech. Because tech is going to help you grow exponentially. So that's when I set up Brigade Reap.

It was Asia's first real estate accelerator program.

[Speaker 4] (2:28:32 - 2:28:33)

What year was this?

[Speaker 2] (2:28:33 - 2:29:57)

2016. So I joined the business in 2009. So 2016 I decided to, and at that time I actually wanted to start my own co-working brand.

Because I was like, how do I reinvent myself? And I thought I'll do this one startup of co-working or using spaces more efficiently. You know, just finding little nooks and corners that are not used efficiently and then create a business out of it.

And then you realize, you know, the startup world is a very difficult world. So I said, why work with one startup when I can work with 100? So the concept of Reap was, invest or mentor, have equity in 100 tech startups that the real estate industry can use.

So fast forward seven years, we're about at 70, 75 companies. So we should get to 100 number in a couple of years. And then one of our CEOs in the office and retail vertical left, he was handling both verticals.

And at that point in time, my dad said, you know, why don't you look after the office and retail vertical? So those are two industries which I didn't know anything about. And like I said, I had to

learn to understand and love them.

And I genuinely enjoy the businesses now. So did that, expanded to office and retail. And then set up a co-working brand as well in 2019.

What is it called? It's called Buzzworks because all co-working brands must have works or co in it. So it was called Buzzworks.

[Speaker 1] (2:29:58 - 2:30:08)

And only in India, they add the S everywhere. Even for WeWork, everyone here, we just call it WeWorks. WeWork, WeWork is the most annoying thing.

[Speaker 2] (2:30:08 - 2:30:44)

But my brand has the S incorporated into it so it doesn't get butchered. Yeah, and then been doing that, just been growing those portfolios. Recently set up a fund, fund again to focus more on prop tech.

And in the middle, I think along the way, like you started your restaurant business. I think when I came into the hospitality space, I had not worked. I had done a few internships in Four Seasons Singapore, Leela Palace Bangalore, Ritz Carlton DC, but I had not like gotten my hands dirty for a while.

So I said, I'll set up a couple of restaurants. So I set up High Ultra Lounge in Maleshwaram.

[Speaker 3] (2:30:44 - 2:30:44)

I've been there.

[Speaker 2] (2:30:45 - 2:31:18)

Yeah, and that was one of those things where everybody, I went to all the restauranters in the city, the top 10 guys, and they all said, no, it's too much of a risk. It's too big. It's too far.

It's too this, it's too that. So I said, okay, I'm going to do it and make sure it works. I'm going to make sure it's profitable.

So I ran it for a couple of years and then handed over the management to the Sheraton, one of our hotels. So yeah, so that's how I've grown my portfolio. So office, retail, hospitality.

Now might look into a bit of facility management as well because it's very synergistic with what we do in office and retail.

[Speaker 3] (2:31:19 - 2:31:21)

So what is bread and butter today and what is jam?

[Speaker 2] (2:31:22 - 2:31:23)

In the company?

[Speaker 3] (2:31:23 - 2:31:24)

For you.

[Speaker 2] (2:31:25 - 2:31:59)

They're all bread and butter. Jam is probably facility management. But all three verticals are, if I look at the overall portfolio, like 60% of our top line comes from residential and about 35 to 40%, depending on where we are in the cycle, comes from the annuity income portfolio, as we like to call it.

So 20% of that is office. Another 15% is hospitality. And retail, we just sort of, we have only three malls, so about 5% comes from that.

And facility management is also growing. I think that's also another 5% we can add to our top line.

[Speaker 3] (2:32:00 - 2:32:03)

Good transition. Co-working into current. Yes.

[Speaker 1] (2:32:04 - 2:32:05)

You want me to start from the start?

[Speaker 3] (2:32:05 - 2:32:06)

Yeah, you start from the beginning.

[Speaker 1] (2:32:07 - 2:32:08)

Born and brought up.

[Speaker 3] (2:32:08 - 2:32:12)

Throws the biggest Diwali parties in Bangalore. By a mile.

[Speaker 4] (2:32:14 - 2:32:15)

2000 people.

[Speaker 1] (2:32:16 - 2:32:39)

At least. At least invited, I don't know. Finally show up.

But yeah, it's grown. It's actually become a tradition over time, I think, in the city. So where did you grow up?

I was born and brought up and bred in Bangalore. So I've lived here, you know, pretty much my whole life. Studied here across two schools.

Vidyashil, Padditi.

[Speaker 3] (2:32:41 - 2:32:46)

Grew up riding. All the spoiled brats of the marketing. Right?

I only went there later in life.

[Speaker 2] (2:32:47 - 2:32:55)

No, no, that's the same thing. I went to Sophia's. Went to a typical convent school.

And I love that convent education. But yeah, I went to Aditi too. 11th and 12th.

[Speaker 1] (2:32:56 - 2:33:24)

So, studied here. Actually, a lot of our childhood, at least me and my brother, you know, we spent riding. So outdoors and like around horses.

And all of that stuff as we kind of grew up. We had this embassy riding school, you know, which was like a huge bit of like a stud farm that my dad had bought. You know, in the 96 or something.

For whatever reason, which is now super crazy. And he lives there.

[Speaker 3] (2:33:24 - 2:33:33)

For people who don't know right now, you know what they're picturing? Mithila, Agnes, Karan, Aditya, stud farm, palace, Diwali party, 2000 people.

[Speaker 1] (2:33:33 - 2:35:01)

I think you need to like rope park some context. And it's probably putting me in a terrible light. Yes.

So, that, lot of time outdoors. Lot of time in like army situations. And like, you know, being in that circle.

Because that was really the people you would compete with. You know, really in like equestrian riding at that time. A lot of my childhood, a lot of my teenage years, I think was, I always felt entrepreneurial.

Like wanted to find ways to do something. Whether it's like small bits of making money in the building. You know, I think one of the things that our parents were very particular about is like every pocket money, you have to like sort of earn and do something around it.

In my teenage years, it's probably, you know, like we spend a lot of time, at least in 10th grade, like throwing these parties for our school, you know, for our class and things like that. And I still remember, you know, like the first thrill of like making money was throwing our 10th grade graduation party and I made, I don't know, like 40,000 rupees that night, which was huge. Went the next day, blew it up.

I'm disappointed at Aditi, you made so little.

[Speaker 2] (2:35:02 - 2:35:04)

No, he wasn't at Aditi. You said 10th grade.

[Speaker 1] (2:35:04 - 2:35:09)

No, no, I was still in Aditi. But it was like 600 bucks to get in and you, you know, like whatever.

[Speaker 2] (2:35:09 - 2:35:11)

40,000 was profit or revenue?

[Speaker 1] (2:35:12 - 2:35:13)

Profit. Profit.

[Speaker 2] (2:35:13 - 2:35:14)

Not bad.

[Speaker 1] (2:35:17 - 2:36:06)

And then went to the UK to study at the University of Kent. Just studied business administration. And I think during my last year of college itself, I was kind of done with education and like, you know, going to school.

I just was ready to kind of work and do something. So actually in my last year of universities, when I started setting up our hospitality business, which I run with a partner of mine. So we have, you know, a few restaurants in UB city.

We have a catering business. Who's your partner? Mankani.

Yeah, Siddharth Mankani. And, and now it's, it's, you know, it's small. It's been like 10 years since we've been, since we started it and it just continues to operate.

So, so did that for like two and a half years. Then I…

[Speaker 4] (2:36:06 - 2:36:06)

Full time.

[Speaker 1] (2:36:06 - 2:37:41)

Full time. And then I decided that I want to come and like join the family business. I wanted to learn what was happening.

The business also was growing, you know, quite fast at that point in time. And so I actually spent two years post that. What we call at least between the three of us is shadow working.

So I had a notebook. I used to just sit in every single meeting that my dad was in, travel, take notes at the end of the day, ask him, you know, questions. Why did you do this?

Why did you say this? Why are we doing this when you told me that this is X, Y, and Z? And there I got a huge amount of exposure, you know, from buying land, dealing with villagers and like going through that experience to dealing with someone like Jonathan Gray, Blackstone, you know, private equity.

And so a completely wide spectrum of rooms that, you know, I got to be in. And during that stint, I think, and my experience in setting up the hospitality business, I saw that we were building these huge parks for multinational companies and, you know, these large enterprises. And they were also spending so much in the fit outs and how the office experience was that no one was contributing or no one was building anything for the small and, you know, small startups and small businesses.

And this was also when Bangalore startup scene was about to explode or was exploding. I mean, Flipkart had just raised the 16 billion round. It was, you know…

[Speaker 4] (2:37:41 - 2:37:41)

What year was this?

[Speaker 1] (2:37:43 - 2:41:18)

2014, 2015. Yeah, around then. And so the idea of actually having small space in our larger parks for smaller businesses, my original thought process was like equity for space.

That was, you know, the original idea, like a version of an incubator. And then as we, as I was researching and I was, you know, making this huge pitch, like a management pitch to the presentation about a new business, new business that we should look at, WeWork came up a lot when I was, you know, doing a lot of the research. I mean, it was still in the US.

They hadn't expanded globally yet. But the concept, the way that WeWork had stacked everything together, which was, you know, design, technology, and like this community layer and this infrastructure, the network for startups was, you know, something that was like exactly like as I was sort of like envisaging it. And coincidentally, around the same time, few early investors of WeWork actually came to India and they started scouting for partners because WeWork was looking to expand globally.

And these guys had worked in India before, so they felt like WeWork and, you know, and India would really do well over here. And that's how I, we ended up going to New York for like a completely separate trip to meet with Blackstone. And we entered a WeWork and, you know, that was like a life-changing light bulb moment.

That was WeWork peak in the US? No, this was, it was... Post turmoil?

No, no. Much, much before. This was...

Again, they had only a few offices in New York and one office in London, one office in Amsterdam. They were still valued at like 10 billion, which was crazy. But it was only post that, post us, you know, having that meeting when it really got absolutely crazy.

So, we went there, we met Adam, we spent about a year and a half almost trying to figure out partnership because earlier, WeWork was actually trying to have multiple partners in India. They were looking at DLF, they were looking at, you know, Rehejas, they were looking at us, RMZ. So, they were, they were really like exploring and we kind of said that, look, if you want multiple partners, I don't think we're the people because this won't work in India with multiple developers as partners.

So, we started working on our own brand. And, and that, it sort of evolved, you know, they didn't get along with DLF, they didn't get along with, you know, Rehejas or they were much more conservative in the thought process and Adam was, you know, obviously in this crazy, on this crazy mission. So, we went back to them but the deal was still not happening.

We weren't able to agree on terms. Adam was already valuing the business at like 2 billion before us even putting a brick or like a billion in, a building in. and so we weren't actually, you know, getting there.

And then finally, we realized that his priority, our WeWork's priority was more China and more Europe than it was India. That's how we kind of proposed that, look, we'll take the brand, you

know, give us the ability to use the brand and we'll invest our capital.

[Speaker 3] (2:41:18 - 2:41:19)

How big is WeWork now?

[Speaker 1] (2:41:20 - 2:41:29)

Globally. India, your WeWork. India, we operate almost like 8 million square foot.

We just opened our 60th location last week.

[Speaker 4] (2:41:30 - 2:41:31)

And how many people is that?

[Speaker 1] (2:41:31 - 2:41:39)

It's about a capacity of about 95,000 desks. We have close to about 72,000 members now.

[Speaker 3] (2:41:39 - 2:41:41)

And occupancy on average?

[Speaker 1] (2:41:42 - 2:41:51)

Occupancy right now is probably around like between 75 to 80. But we've added also a lot of capacity in the last few months.

[Speaker 3] (2:41:51 - 2:41:56)

And is this part of Embassy, the holding company?

[Speaker 1] (2:41:57 - 2:42:19)

Yeah, so Embassy is still the largest shareholder. We started off owning 100% of it and we've also invested like, you know, pretty much all of our own capital until 2020, where WeWork put in some money. You know, they put in about $100 million.

So they own about 27% of the business.

[Speaker 3] (2:42:19 - 2:42:23)

Is there a standardized number that you spend on square feet after leasing a property?

[Speaker 1] (2:42:24 - 2:42:32)

Yeah, so we spend and we're in the mid to premium segment of the market. So we spend close

to...

[Speaker 3] (2:42:32 - 2:42:34)

You are the most premium, I think.

[Speaker 1] (2:42:34 - 2:42:36)

There are more premium players. I mean...

[Speaker 3] (2:42:36 - 2:42:37)

But small ones.

[Speaker 1] (2:42:37 - 2:42:40)

Yeah, smaller. The executive centers, an example is maybe...

[Speaker 3] (2:42:40 - 2:42:42)

But you're on average 15,000 rupees a seat?

[Speaker 1] (2:42:43 - 2:42:44)

We are closer to 20.

[Speaker 2] (2:42:44 - 2:42:50)

No, but your spend per capex, I remember when they came in, everybody's like, Oh my God, they spent X amount.

[Speaker 1] (2:42:51 - 2:43:00)

We got it much more efficient. We spent close to about 2,500 bucks a square foot. 2,800 bucks, depending on the location.

[Speaker 2] (2:43:00 - 2:43:03)

Initially, when you came in, it was all 4,000, 5,000.

[Speaker 1] (2:43:03 - 2:44:03)

Yeah, but, you know, there, I think the first two locations, we were trying to replicate what was happening, what was being built in other parts of the world. And then we localized the supply chain. We understood how to localize the product.

But in terms of quality of the space, I would say that we were as good, or if not better, than any

other location in the world. So the delta arbitrage of the experience that you get here versus what you get outside, maybe of a WeWork, is just so massive, which is what I think is driving, one, a lot of the stickiness, and also the demand for our spaces. When you look at it in terms of from a multinational, you know, spend standpoint, India is still pretty much like $1 rentals.

They've been $1 rentals for the last, you know, 20 years. So the cost arbitrage and being able to get a space like ours, they're willing to pay, you know, a premium because…

[Speaker 3] (2:44:04 - 2:44:07)

This is something I can do, right? As a 20-year-old starting off?

[Speaker 1] (2:44:08 - 2:44:11)

You can, there's like every mom and pop guy opening a co-working space.

[Speaker 3] (2:44:11 - 2:44:27)

What are the financials of it? Say I've managed to raise or borrow 10 crore rupees. Yeah.

I rent a building on Church Street, which is 10,000 square feet. I spend, what did you say? 3,000 per square feet.

Yeah. So I spend 3 crores on the interiors.

[Speaker 4] (2:44:27 - 2:44:28)

Yeah.

[Speaker 3] (2:44:28 - 2:44:32)

And then I can fit in a chair for every 100, 150 square feet?

[Speaker 1] (2:44:33 - 2:45:12)

No, it'll be less. So I think the, like a big way we bring value or we add value is actually through the design of the spaces where we're able to have density and make you feel like you have, you know, all of the space. So you're basically paying for, let's say, a two-person office, but you get access to like a six-story building, right, which has meeting rooms.

So it's very much a shared economy-ish concept where density plays a huge part. So we are able to almost bring it down to, let's say, 65, you know, square foot per person.

[Speaker 3] (2:45:12 - 2:45:15)

And you have the hot seat thing, so you don't have a definitive seat.

[Speaker 1] (2:45:15 - 2:45:20)

That's a very, very small percentage. It's only about 3% of our entire building.

[Speaker 3] (2:45:20 - 2:45:24)

But why is that? That seems to me, on paper, this business model makes so much sense, right?

[Speaker 2] (2:45:25 - 2:45:49)

It's so variable, right? I feel like it's like a hotel, it's like the hotel business, where if you give your hot-desking rates, if you don't have somebody the next day, if you don't rent it, you lose it. And also, but now I feel like the market is moving more towards managed offices, which is a more stable, you know, lock-ins of three years, you know, lock-ins of four years, five years, so that you know where your income is coming from.

[Speaker 1] (2:45:49 - 2:47:52)

So I would say that's why India and maybe like Indian flex players are doing well. And we actually do everything. We go from a day pass, you know, to like a classic co-working, ready-to-move-in type of space, which can go up to even thousand desks or a full building, to a managed office product, which is fully bespoke design, source design, build and operate for you.

Like I will do the entire thing from showing you multiple buildings, to designing the office, to managing it, to fitting it out all for one, you know, amortized sort of like check. But should I do it if I'm a 20-year-old and I can rent 10,000 square feet? I think that you need to have an ability to source the funnel also.

Like none of it works if you're not able to actually fill it up, right? And that has many, many, many, you know, factors that come with it. And to her point, at least what we do is, we do shorter-term contracts as well as long-term contracts.

So I like to describe our business basically as like office leasing at hyperspeed, which is everything's happening faster, renewals are coming up faster, growth is happening faster, deals are also happening faster, revenue is also kicking in faster. Like it's a completely fast, you know, in really in like in hyperspeed. So unless you have that muscle built, which has taken us, you know, a while and we also replicated a lot of what we got from WeWork.

I think it's a very tough business, which is why I feel like most landlords also haven't successfully been able to do it all over the world. Because it is a completely different expertise and it is a big reason why we built it almost separately from Embassy was, you know, this ability to have, to take space from other developers, to really build it from a DNA and culture perspective also. Fully focused around the, you know, the co-working side of the business.

[Speaker 2] (2:47:53 - 2:48:18)

So if I may add to that, so I feel like if you have 10 crews, you can do a co-working space. And if you had a hundred crews, then you would build a full office building. And similarly, like for the restaurant, if you had 10 crews, very easy for you to do two to three restaurants.

But if you had like a hundred crews, you could build a hotel. But what would be my return? My ROI on?

I think in both cases, I mean, in co-working, I think 20% returns is 20 to 25% is possible.

[Speaker 3] (2:48:18 - 2:48:28)

So if I put in 10 crews, I can make two. Yes. And in office also same, similar.

70% rental yield, right?

[Speaker 2] (2:48:28 - 2:48:30)

70% rental yield.

[Speaker 3] (2:48:31 - 2:48:35)

So co-working, like the office part is just the rental stack.

[Speaker 1] (2:48:35 - 2:49:06)

And your top line and your profit will be, you know, really on the rental stack. And you have obviously this huge cost of the CapEx part of it. We just take leases, you know, our cost of build out is X.

But we have rental, OpEx, the CapEx amortization and, you know, like our slight margin on it. So on the square footage, the realization can be almost like three times what it is of just the plain vanilla rental. Because you're stacking everything under one.

[Speaker 2] (2:49:06 - 2:49:30)

In office, while you get the annual yield of whatever, 8% or 9%, between 7 to 9%, you actually make your money when you sell it also, or you put a capital value to it. So then you have a cap rate of, say, 8%. And then you'll make high teens to, high teens, I would say, before you could make even early 20s.

But I think with the way land price is going up, now it's like high teens.

[Speaker 3] (2:49:30 - 2:49:31)

Plus there's leverage on it, right?

[Speaker 2] (2:49:31 - 2:49:36)

Yeah, you can get lease rent discounting and then you have a lot of fungible money to play with.

[Speaker 3] (2:49:36 - 2:49:56)

I'm going to ask you both a bunch of like questions around real estate that I have. Either of you can pick or both of you can answer them. How important a role does, do relationships play in the real estate business?

Having dinner with the landowner. A lot.

[Speaker 2] (2:49:57 - 2:50:00)

Yeah, should we do a rating like 9 on 10? 9 and a half?

[Speaker 3] (2:50:00 - 2:50:02)

Yeah, 1 to 10, how much? 10?

[Speaker 2] (2:50:03 - 2:50:04)

Yeah, 9 and a half.

[Speaker 3] (2:50:04 - 2:50:08)

Is that the most important thing which differentiates a successful and unsuccessful?

[Speaker 2] (2:50:09 - 2:50:31)

No, I wouldn't say it's the most important thing. But it is, I think, relationships in any business, or most businesses, maybe not in your stockbroking business. But I think it is a huge aspect to it because you get more deals by, say you have a good relationship with the landowner, he'll talk to other people, and then it's a very small community of people.

[Speaker 1] (2:50:31 - 2:51:05)

I think you're really kind of stuck with that partnership for a very extended period of time. It's not a short partnership. It's not something that ends in a year or two.

Almost each development is its own business. It can live for however long. If it's offices, that's an annuity income that's coming over decades.

If it's resi, there's at least a cycle to build. So, and I think most businessmen work on relationship.

I think most business...

[Speaker 3] (2:51:05 - 2:51:17)

But here it's very specific. I'm thinking if I were a landowner, and Nirupa and Karan came to me, how would I decide who to do a JV with? Because it's not about returns alone, right?

[Speaker 2] (2:51:17 - 2:52:02)

So I don't think you would, suppose, I don't know, you're closer, I don't think you would just give it to whoever's your closer friend. I think you would just weigh in on so many other things, like on the financial conservativeness of the company or the ability or reputation of the company. Has he done XYZ projects if you want to do office?

Has he done office before? What's the expertise? What's the funding for it?

There's so many other aspects, but obviously in any business, relationships are super important. It's how you get your referrals, it's your reputation, so many other things. But I would not say that, suppose I don't do, even if I'm not friends with you, you still might choose me because maybe products could be better, certain strengths could be better.

[Speaker 3] (2:52:03 - 2:52:11)

And I wouldn't always say it's a wine and dine type of thing. Relationship with politicians. Yeah.

How important is it? Nine. Nine.

I would say nine.

[Speaker 1] (2:52:13 - 2:52:18)

If you're operating at scale, I would say it's nine.

[Speaker 2] (2:52:18 - 2:52:34)

I don't necessarily think it's as important. I think it's maybe six or seven. I don't think you need to know a politician to do well because I feel like getting approvals and stuff is fairly transactional.

There's a method to the madness.

[Speaker 3] (2:52:34 - 2:52:47)

Do you think real estate will go the way that many industries in India have, where we have monopolies and duopolies? The big will keep getting bigger until there are two or three left? I don't.

[Speaker 2] (2:52:48 - 2:53:16)

No? So I don't think it can be monopolistic or duopolistic just because of the scale of where things are. But there has been a huge consolidation in the market, especially post-COVID.

We saw almost 60% of smaller guys shut shop. And now slowly they're coming up again. But there was a huge move towards the larger players.

So the larger players got a larger market share. And that's why you see valuations going crazy post-COVID.

[Speaker 1] (2:53:16 - 2:53:37)

Branded and trusted, like we were talking about. That is a driving factor, but not to say that regional, local developers will not grow and become big in their own city. It'll be tough to maybe make another DLF, Prestige, Embassy, Brigade.

That is decades of work.

[Speaker 2] (2:53:37 - 2:53:44)

But you could get like your Reliance, your Adani's, your Birla's, those houses can enter.

[Speaker 1] (2:53:45 - 2:54:40)

India is maybe one of the places also where the rental jumps are quite fast and quite high, which is unlike other markets. Starting still from a relatively low base. When they see it on this cost arbitrage and so much offshoring and the amount of demand that exists.

And also I think developers here, when they started, liquidity was super hard to get by. You would get only really expensive, super expensive capital or you wouldn't get funding from the bank and things like that. So I think Blackstone or Tuvan, if I'm not mistaken for five years, didn't even put a check in.

They just observed the landscape and then finally solely forged these partnerships. So India has been very, very successful for them. I think it's been the most profitable market outside of the US.

[Speaker 2] (2:54:40 - 2:54:57)

But also they've come into fairly nascent spaces, right? Like they came into retail, created the first retail REIT, came into office, created the first office REIT and they've monetized now of course getting into industrial. They've been able to monetize in spaces which were not monetizable before.

[Speaker 3] (2:54:59 - 2:56:46)

I have this friend, his name is Marcel Arsenault. I don't know if you guys have heard of him. He's like this prolific real estate investor who is 70 plus.

He's on my Gates Pledge thing. He's a philanthropist as well. I was in the US recently and he sat me down one day.

We were having dinner. We were in Ojai, which is like 100 kilometers from California, let's say. And he made this case for why he is shorting commercial real estate across the world.

He was not shorting India per se because he hadn't done enough research, but definitely parts of America, parts of China. And he said culture has changed in a manner that people pricing properties have not taken cognizance of. What do you guys think of that?

Culture around work from home, people don't want to spend one, two hours in traffic every day. Interest rates in the US for mortgages went from 2-3% to 6-7%. Lots of delinquencies in commercial properties in the US.

We had this full pre-AI, we had this bust in the valley real estate, commercial real estate. You see signs of that in different parts of America today. He had a bunch of reasons.

He had like a proper two-hour presentation that he made. And he is somebody who has always been right. Think in his 50-60 year investment journey, he's been bang on, he was right pre the subprime crisis.

[Speaker 1] (2:56:46 - 2:56:48)

Are you talking like real estate as a whole?

[Speaker 3] (2:56:49 - 2:56:55)

Real estate as a whole he has been right, but he was shorting commercial real estate in particular.

[Speaker 1] (2:56:55 - 2:57:33)

I think there are certain markets which have matured so much. And it's maybe unclear in this moment of time what's going to happen to those locations. But I believe that if you take some city like New York or San Francisco or London and you look at those towers and that type of real estate, I don't think those will ever really go out of value.

That will not become places that continue to see people and demand because there's only one London, there's only one New York.

[Speaker 3] (2:57:34 - 2:57:37)

But there was only one San Francisco and so much there fell 50%.

[Speaker 1] (2:57:39 - 2:58:30)

But I don't know like over a long period of time if that's necessarily going to continue to be true. I think there's like a hangover of COVID and all of this stuff. But India is like a very, very different part of that growth or at least like place in that growth.

We're still not saturated. Supply is so low comparatively to the population. People have come back to work and come back to the office.

And that transition still yet to happen. But I think most private equity guys including Blackstone and things like that, if you see, have allocated out of commercial to other asset classes within real estate, data centers, warehousing, residential as a cycle. So it's probably a cyclical thing is my view.

[Speaker 2] (2:58:30 - 2:59:46)

So my view is that in the US, of course, there is about 1 billion square feet of grade A office space that is lying empty. So I can see why he would think that way. But I just feel that we've gone through this whole thing of, okay, what is the future of office space?

And I mean, the number of panels we've done on offices dead, it's work from home going forward, is just a lot. But what we've seen now is, of course, the whole return to office. And everybody has gone through the whole work from home.

They're coming back to return to office. And we've been in touch with all the large e-commerce guys, MNCs from the US, et cetera. And everybody's seeing value in being back in the office.

And India is going to have its probably most successful year of office leasing. I think just in the first half of this year, some 34 million square feet of office space has been transacted. And that's half the year.

Second half of the year is usually more, has more transactions. So we'll probably hit 70 million square feet. And I still don't know if I can say, okay, the office segment will stay there in eternity to come.

But I feel that it is strong, at least for the next 10 years, 10 to 15 years. I don't see it going out of fashion at all.

[Speaker 3] (2:59:47 - 2:59:58)

What happened to Prefab? I remember this whole boom. Katera.

Yeah, Katera, Fazil sold his company to them. Kev, yes. Richard used to work for Kev.

[Speaker 2] (2:59:58 - 3:00:06)

Yeah. So I thought that would be the next big thing. And I thought this is it, man.

You know, going Prefab is the way to go.

[Speaker 4] (3:00:06 - 3:00:09)

Sorry, I'll just finish my point.

[Speaker 2] (3:00:10 - 3:00:49)

But when you look at it, while you can cut your time, the timelines by almost a third, the cost was also like 3 to 4x higher. And also you can't, knowing how Indian construction is done and how planning is done, there's a lot of on-site changes. And you can't be even like half a millimeter wrong, right?

Because if you're even half a millimeter wrong, you'll have constant seepages. So there's no room for error. And I don't think we've reached that level of perfection.

And since labor is still cheap, people weren't willing to pay the price for Prefab. And you also need large volumes in order to make the machinery and the factory work.

[Speaker 1] (3:00:50 - 3:01:10)

I think China does Prefab quite well. They're able to put up hospitals and apartment buildings and all within days and months. I just don't know if we have the execution capability and the labor cost here is still so cheap that it still just makes sense to put people on the side.

[Speaker 3] (3:01:10 - 3:01:12)

But they're going off fast, right? Labor costs?

[Speaker 2] (3:01:13 - 3:01:20)

It's still under control, I would say. I mean, yeah, it's still under control.

[Speaker 3] (3:01:21 - 3:01:39)

What about cash in the real estate ecosystem? If I go further off to tier 2, tier 3 towns, it gets progressively worse. Do you think most black money in India is still sitting in real estate?

I suspect it is.

[Speaker 2] (3:01:39 - 3:01:48)

I feel it's drastically reduced. I mean, see, us being a public listed entity, almost everything is check. Everything is check.

[Speaker 3] (3:01:48 - 3:01:59)

Where is all the black money in India sitting? Give me one word answer. Real estate.

I wouldn't say it. Where else? Manufacturing.

Good car.

[Speaker 1] (3:02:00 - 3:02:02)

A lot of good car. Good car will be sitting in Dubai.

[Speaker 2] (3:02:05 - 3:02:14)

I feel it's not with your large entities, right? It's with the smaller, unorganized sector. It's not with the large.

I mean, we can't.

[Speaker 3] (3:02:14 - 3:02:16)

But that smaller, unorganized is the largest chunk of India.

[Speaker 2] (3:02:17 - 3:02:17)

Yeah.

[Speaker 3] (3:02:17 - 3:02:20)

Organized is quite tiny. Organized, yeah.

[Speaker 2] (3:02:20 - 3:02:22)

It's like an 80-20, so 20% is organized.

[Speaker 3] (3:02:22 - 3:02:28)

It's been reducing a lot. Senior living? What do you think of it as an opportunity?

[Speaker 2] (3:02:28 - 3:03:11)

So, I think great opportunity. But one learning that we had was that when you just have like senior living, if you just do senior living as the only thing, as a project, I don't think it's as successful because old people don't want to be surrounded by other old people, right? Because if I'm old

and I need help, I don't want to call another elderly person.

I need a young, fit body. So what we've realized is when you do larger townships, you have one building or one tower for assisted living or senior living. But they like to be surrounded by younger kids, dogs, you know, middle-aged people because that's who they can call on for help if they ever need anything, you know?

[Speaker 1] (3:03:11 - 3:03:13)

Super underserved.

[Speaker 2] (3:03:13 - 3:03:13)

Right?

[Speaker 1] (3:03:14 - 3:03:26)

There's no one really, I mean, doing anything. And I guess we have this notion that India is just a young, young, young country. No, we're growing old fast.

Yeah, exactly. And no one is really catering.

[Speaker 2] (3:03:26 - 3:03:31)

We can even become a real... There are a couple of people focused on it. But like I said, I don't know if it's...

[Speaker 4] (3:03:31 - 3:03:31)

Scale.

[Speaker 2] (3:03:31 - 3:03:45)

Yeah, because we tried doing, you know, just senior living and it didn't work. We had to sort of modify the plan to have only one tower as senior living. Otherwise, old people don't want to just be surrounded by other old people.

[Speaker 1] (3:03:45 - 3:03:49)

We're doing it in a, you know, like, in a township.

[Speaker 2] (3:03:50 - 3:03:52)

Yeah, township makes sense. That it's integrated.

[Speaker 3] (3:03:52 - 3:03:54)

A friend of mine does this at scale, Adarsh.

[Speaker 2] (3:03:54 - 3:03:56)

Adarsh, yeah. Adarsh does Primus.

[Speaker 3] (3:03:56 - 3:04:17)

Yeah. Adarsh will be happy only. 20 people will Google Primus.

P-R-I-M-U-S. More than 20. Okay, on the flip side, if I am unable to start a business in real estate and I want a job, what skill sets will you hire for and how much salary will you pay me?

[Speaker 2] (3:04:19 - 3:04:21)

Okay, so real estate I think has...

[Speaker 3] (3:04:21 - 3:04:23)

Younger and more hardworking and ambitious.

[Speaker 2] (3:04:24 - 3:05:19)

I think there's a whole gamut of job roles that you can take, right? Ranging from, of course, the basic is engineering, whether you're a civil engineer, structural engineer, mechanical engineer, electrical engineer. Those are all roles that builders like ours will hire.

And then you have like any corporate, like any corporate, you'd need your marketing functions, you need sales or leasing, HR, PR, lawyers, you need liaison guys, you need architects, interior designers, project managers. So there's a whole gamut of them. I think initially real estate used to be, maybe I would say 10, 15 years ago, not a very sexy business.

And the kind of people we could hire were not from the best schools. But I think that's changing now. And you know, you're able to hire from your IITs, you're able to hire from your IIMs, ISB.

[Speaker 3] (3:05:20 - 3:05:24)

Is there some like part-time course I can do to make me more hireable or internship?

[Speaker 2] (3:05:25 - 3:05:27)

You can just work with a builder.

[Speaker 3] (3:05:28 - 3:05:28)

As an intern?

[Speaker 2] (3:05:28 - 3:05:31)

As an intern. But honestly, I feel...

[Speaker 3] (3:05:31 - 3:05:40)

If I email Nirupa at Brigade and say, I want to be an intern, will you consider it? What are the odds... I'm hiring in my treasury team, I don't know like...

[Speaker 4] (3:05:40 - 3:05:45)

I don't know where everyone else is going, but straight into the treasury team.

[Speaker 2] (3:05:45 - 3:06:32)

He's talking about unknown face and figure. Yeah. Like I'd put you...

It depends on what your interests are. But I've had so many people intern, some want to just shadow me. I don't allow too much of that.

Because I don't like to be shadowed. I don't want my calendar to be known and whereabouts to be known. But in REAP, we'll put you in if you want to work with tech and startups, you want to work with marketing project, you want to work with...

If you're an engineer, we can give you an internship there too. But we started hiring from your ITMs, ISBs, IIMs, because we want those kind of people to start. And will you pay as well as startups and tech companies?

So that's a tough one. Startups and... I mean, tech companies...

Startups don't pay anything. We sell you the hope of ESO. Yeah.

[Speaker 1] (3:06:32 - 3:06:34)

I mean, depends what type of startup.

[Speaker 2] (3:06:34 - 3:06:45)

Now things have sort of mellowed down a bit. There was a time when I was like, their CTOs would be more than our CFOs and CEOs. But now I think things have mellowed down.

[Speaker 3] (3:06:45 - 3:06:48)

Is there a different hierarchy? Does CFO come above CTO in real estate?

[Speaker 2] (3:06:49 - 3:06:49)

Yeah.

[Speaker 1] (3:06:50 - 3:06:51)

There's no CTOs in real estate.

[Speaker 2] (3:06:53 - 3:07:19)

We've started... We are looking at tech as a big angle. Even though like real estate and construction spend less than 1% of their top line on IT, which includes your laptops and SAP licenses and Microsoft licenses.

So it's hardly anything on tech, if you really look at it. But I think that's slowly changing. Investment into going paperless and using AI for better marketing returns, etc.

[Speaker 3] (3:07:19 - 3:07:24)

Any AI implementation in real estate? We have.

[Speaker 1] (3:07:25 - 3:08:16)

I mean, at least at the WeWork level, we're using a decent chunk now. We have our own like... We use it for design.

So to do like our layouts, clash detection for MEP type of design. And we're using it for our inside sales team. So the chat bot, support bot.

We are using it. I mean, I've made at least like a big chunk of the team at least have chat GPT licenses when they're doing research. Our innovation team uses it like a decent chunk.

But I would say, yeah, I would say that we are using it maybe more than most people in real estate. But also because our business is slightly like different. Right.

[Speaker 4] (3:08:17 - 3:08:18)

Yeah.

[Speaker 1] (3:08:18 - 3:08:24)

But still, and like, you know, whatever. Creative, our brand team uses it a bit to do that.

[Speaker 2] (3:08:24 - 3:08:57)

Yeah, lots of AI for marketing. Like how do you spend that marketing dollar better? Again, also chat bots to help and enhance customer experience.

There are even chat bots to do your calls, like your 1-800 number calls. We're also using AI to look at safety and security, like using cameras to detect any potential threats and issues. A lot of video analytics, behavioral analytics in malls, busy spaces, okay, somebody behaving funny.

So quite a few uses. Nice.

[Speaker 3] (3:08:58 - 3:10:03)

Yeah. So the main outcome we do this for is to get more young people into entrepreneurship. Okay, we do it obsessively.

And we do something that will help that community at the end of each show. So it's either by giving money to a young company which we see promise in, it could be giving someone time of yours to shadow you, it could be somebody who interns in your treasury team. So we'll figure it out amidst ourselves.

I'll catch Irfan uncle also, we'll make him give some time. And we will go out and look for some really smart young kids who want to work, boys and girls, who want to work in real estate. We'll find them and we'll do something.

We'll put this out later. We'll discuss offline. But thank you guys for doing this.

This has been a long time. Five hours of speaking. Six hours.

[Speaker 4] (3:10:03 - 3:10:05)

So thank you.

[Speaker 2] (3:10:17 - 3:10:19)

Are you asking that or should I answer?

[Speaker 3] (3:10:19 - 3:10:31)

What are the things you access? You guys are gonna hear something for the first time ever. Being such large companies, what do you outsource?

[Speaker 2] (3:10:32 - 3:11:36)

Quite a few things. I feel like the role of a builder is to be like a project manager. So we're just managing everything but we're subcontracting the laborers.

While we have architects to oversee the whole design development, you're outsourcing the actual drawings, etc. to other architects. Interior designers and lawyers, we have in-house lawyers but you outsource title opinion and all the legwork to external lawyers.

So everything I feel is... You have marketing guys to monitor other marketing agencies. So I feel like our role as a builder is to project manage all these various entities.

So everything is actually outsourced. We just have people to manage these different sections and entities. Hey, one thing I forgot.

[Speaker 3] (3:11:36 - 3:11:56)

Marketing. How did I forget that? A big part of a real estate company becoming a brand is a factor of marketing.

What kind of marketing helps in selling a high-value product like an apartment or a commercial space? I think it's...

[Speaker 2] (3:11:56 - 3:11:58)

Brand everywhere, plastered on the city.

[Speaker 1] (3:11:58 - 3:12:06)

Newspapers still work. Billboards, airport billboards, which is why you'll see... Everything that you land is like real estate.

[Speaker 2] (3:12:07 - 3:12:14)

I mean, that's why builders, I think, when you look at the newspaper it's only builders, builders, magazines, newspapers, radio, billboards.

[Speaker 1] (3:12:14 - 3:12:22)

Over 7 days probably builders, IPO page. Then builders again, some IPO listing. I think people have...

[Speaker 3] (3:12:22 - 3:12:23)

No performance marketing.

[Speaker 1] (3:12:23 - 3:12:29)

There is now, a lot. There is like a lot more digital marketing spend happening.

[Speaker 2] (3:12:30 - 3:12:31)

No, one is that, yeah.

[Speaker 1] (3:12:31 - 3:12:48)

But I... Again, the mindset is still very traditional in everything that happens within real estate. Unless there's like fresh blood and someone younger coming into the business and trying to push technology, push better ways of doing things.

[Speaker 2] (3:12:49 - 3:12:51)

But I think it's also...

[Speaker 3] (3:12:51 - 3:12:52)

The trust thing is still...

[Speaker 2] (3:12:52 - 3:12:58)

Referrals, I would say referrals are a big part. Like one-fourth to maybe even one-third.

[Speaker 3] (3:12:58 - 3:13:00)

Do you incentivize referrals? Yeah. Why?

[Speaker 2] (3:13:01 - 3:13:05)

So commission, if you're a registered broker, then you get a commission.

[Speaker 3] (3:13:05 - 3:13:08)

What if I buy an apartment in Brigade and I bring a friend to buy another?

[Speaker 2] (3:13:09 - 3:13:17)

You will get a... Either if you have an apartment that you're also buying, you could get a discount on that. But if you want a commission, you'll have to register yourself.

[Speaker 3] (3:13:17 - 3:13:19)

Otherwise you'll give me a TV or a fridge or something.

[Speaker 2] (3:13:20 - 3:13:45)

No? I can't incentivize you like that. So if you register yourself, and there are some other ways actually that you could do this incentivization in kind.

There are some companies that help you do that. So one is referrals. One is channel partners.

So brokers. And then the third is just outreach. Yeah.

That's it. Yeah.

[Speaker 3] (3:13:47 - 3:13:49)

Yeah. GCCs.

[Speaker 4] (3:13:49 - 3:13:49)

Yeah.

[Speaker 3] (3:13:50 - 3:13:53)

Yeah. What are global capability centers?

[Speaker 4] (3:13:53 - 3:13:54)

GCCs.

[Speaker 1] (3:13:59 - 3:15:49)

It's really what Accenture and DCS all started with, which was really for large companies trying to digitize, offshoring basically. But today it's... I think post-COVID opened up to not just the large businesses, but pretty much any business, whether you're like a 100% company, 200% company.

A lot of them actually start with us at, you know, WeWork, where they start with maybe like a small amount of desks as they enter India. But it's essentially all digital transformation, product development, and backend services that companies are seeing the cost arbitrage of, you know, hiring and taking real estate in India. Purely because of the talent pool, English speaking, highly skilled engineers that you can't get, you know, anywhere else in the world.

And I think today the output has increased so much, so drastically that an engineer here is as good as a Silicon Valley, you know, type of engineer. So what used to be BPO's and, you know, just call centers are now full stack, product development, cybersecurity, R&D teams, you know, Mercedes as an example, the entire unit, the entire interactive system in every Mercedes car gets built, you know, out of India. So it's moved up the value chain.

And post-COVID, I think people have realized, companies have realized that I don't need to be housed in America or Europe, you know, I can have like a more dispersed workforce, which is a big reason why commercial real estate in India is booming still. It's just that flow that's coming from all over the world.

[Speaker 2] (3:15:49 - 3:16:21)

So even like 20 seats, a company taking 20 seats can be called a GCC as long as they're doing the kind of work he mentioned. And now the reason why GCCs keep coming up is because from the commercial office take up, they're taking up almost 28 to 30% of your office space. I think now co-working was at 25, 26%, it's come down to 21%.

IT has actually come down to maybe 10 to 15% from new space, new office take up. And a lot of the India facing companies are the remaining 40 odd percent.

[Speaker 4] (3:16:22 - 3:16:29)

So I think GCCs are really helping the whole office market sustain its, yeah, its shine, I would say. Yeah.